

Global Risk Management Survey

2011



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Introduction

We are pleased to present the results of the 2011 Aon Global Risk Management Survey, a revealing data-driven study designated to help businesses see a fuller picture of today's risks and risk management strategies.

Conducted in Q4, 2010, the Aon Global Risk Management Survey has generated nearly 1,000 responses from companies around the globe. The results are enlightening. For example, as the world's economy shows signs of recovery from the financial crisis, the threat of economic slowdown still weighs heavily on organizations that have responded to the survey. If the economy continues to improve and businesses grow steadily, organizations will have to plan accordingly to manage changing risk profiles and capture new opportunities brought about by an economic recovery.

The findings from this survey allow organizations to benchmark their risk management and risk financing practices and help them identify approaches that may improve the effectiveness of their own risk management strategies.

As the world's leading risk advisor and insurance broker, Aon is committed to using our unmatched global network and insights to provide businesses with industry-leading solutions.

If you have any comments or questions about the survey, or wish to discuss the findings further, please contact your Aon account manager or visit aon.com/globalrisksurvey

Best regards,

A handwritten signature in dark ink, appearing to read 'Steve McGill', with a long, sweeping horizontal line extending to the right.

Steve McGill

Chairman and CEO
Aon Risk Solutions

The past two years have witnessed continued economic challenges and tremendous changes in global regulatory environments. Aon's 2011 Global Risk Management Survey report captures the latest risk trends and priorities facing companies around the world.

This Web-based biennial survey has helped companies large and small, private and public stay abreast of emerging issues and learn what their peers have done to manage risks, overcome challenges and capture opportunities.

We strive to provide clients with fact-based analytics that focus on identifying, assessing, measuring and managing risks and that can assist clients in developing forward-thinking insights and gain a competitive edge.

If you are interested in learning more about how we can use the industry's cutting-edge technology and fact-based analytics to refine and boost your risk management strategies, please contact us or any of our colleagues listed in the back of this report.

We hope you find this survey valuable and apply the results to your risk management practices, and we welcome your feedback.

Best regards,



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Executive Summary

Aon's 2011 Global Risk Management Survey was conducted in 10 languages in Q4, 2010, encompassing 960 companies from 58 countries in all regions of the world. The third of its kind since 2007, this online biennial survey aims to help companies stay abreast of emerging issues and learn what their peers are doing to manage risks and capture opportunities.

This survey, similar to prior years', covers the following topics:

- Top risk concerns facing companies today
- How companies identify and assess risk
- Approach to risk management and board involvement
- Risk management functions
- Insurance markets
- Risk financing
- Global Programs
- Captives

Top 10 Risks

Even as economies show signs of recovery from the global financial crisis, respondents still see economic slowdown as the top risk. For the first time, two new risks enter the top 10 list: failure to innovate/meet customer needs and technology failure/system failure.

The highest percentage for risk readiness (77 percent) is cited for cash flow/liquidity risk, up from 75 percent in the prior survey. Respondents feel least ready for failure to attract or retain top talent—60 percent cite this risk, down from 68 percent.

Top 10 risks

2011

Economic slowdown
Regulatory/legislative changes
Increasing competition
Damage to reputation/brand
Business interruption
Failure to innovate/meet customer needs
Failure to attract or retain top talent
Commodity price risk
Technology failure/system failure
Cash flow/liquidity risk

Identifying, assessing, measuring and managing risk

In the post-recession period, companies are facing increasing pressure from stakeholders to better understand the risks that organizations are facing, optimize insurance programs and lower Total Cost of Risk, or TCOR. This is evident in the 2011 survey, where 61 percent of respondents consider lowering TCOR as one of the top benefits of investing in risk management. However, only 39 percent report have tracked and managed all components of their TCOR, down from 44 percent in 2009.

Among reasons cited for not measuring any TCOR elements, 39 percent of respondents mention lack of resources/expertise, 36 percent cite lack of data/information and 30 percent say they do not find the process valuable.

Senior management's intuition and experience remain the primary method used by survey respondents to identify and assess major risks facing their organizations, followed by business unit risk registers or key risk indicator worksheets and structured enterprise-wide approach.

Board oversight and involvement

As is consistent with the prior two surveys, risk remains firmly on the board's agenda. Three out of four companies say in the 2011 survey that the board or a board committee has established or partially established policies on risk oversight and management.

Risk management department and function

Despite the economic slowdown, the levels of risk management department staffing appear, on an aggregate level, to have remained stable. The Chief Risk Officer's role is growing—31 percent of respondents say they have a CRO. Companies in more regulated industries are more likely to have a CRO.

Seventy percent of the respondents indicate that they have a formal risk management department. Among those, 54 percent say their risk management department reports to the CFO/finance/treasury. In the case where no formal risk management department exists, 41 percent say their CFO handles risk management.

Insurance markets

The message has been consistent and clear. For the third straight time, financial stability is cited as the top criterion in an organization's choice of insurers, illustrating the fact that concerns for competitive pricing is still tempered by an interest in dealing with carriers who have the financial capacity to pay claims. Prompt settlement of large claims sees the greatest increase in priority among all the surveyed factors, from number nine in 2009 to number five. This could be driven by the higher than normal natural catastrophe losses that occurred in 2010, in regions outside North America.

Risk financing

Commercial insurance has been in a soft pricing market since 2004 and every year the expectation for a harder pricing environment increases. The 2011 survey shows no indication of its arrival yet. Flat to single-digit rate change appears to be the norm among respondents. The majority of the organizations surveyed are comfortable with their current limits purchased, and maintain their current deductible/retention levels. Coverage terms and conditions remain stable and in some cases, have broadened.

Global programs

When asked how companies operating in more than one country purchase/control their insurance programs, 59 percent say they have a centralized operating structure, where corporate headquarters control procurement of all of their global and local insurance programs, while 38 percent say their, corporate headquarters control some lines and leave local offices to purchase other lines. Among the global policies that organizations have purchased, the most common types are general liability including public/product liability, as well as property damage/business interruption. Only three percent of surveyed companies allow each operation to buy their own insurance with no coordination from corporate headquarters.

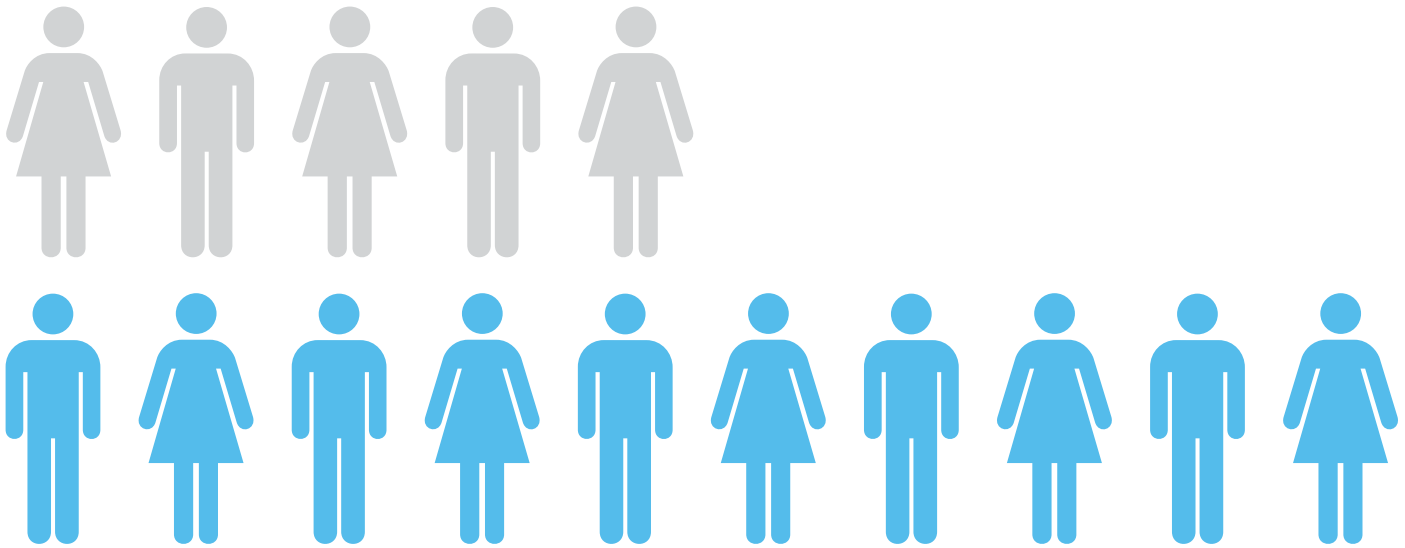
Captives

As an integral part of the organization's risk management program, captive insurance companies or captives continue to be used by organizations in virtually all industry groups and geographic regions. Twenty-six percent of survey respondents report having an active captive or Protected Cell Company (PCC). However, during the economic downturn, there were greater activities surrounding and interest in exit strategies. In the current survey, eight percent of respondents indicate an interest in closing their captive vehicle and six percent consider their captive vehicle to be dormant or in run-off. Over the next few years, while we are not expecting prolific growth in new captive formations on a global scale, we anticipate the vast majority of owners will remain committed to their captive strategy.

Conclusion

As the world is slowly recovering from the recession, conditions remain challenging for many and risk retains a high position on every organization's agenda. While it is hard to predict which risk might emerge large and demand our immediate attention, we can be certain that successful companies will not be the ones taking a "wait and see" approach. Instead, they will be the ones who prepare themselves thoroughly and undertake the difficult process of finding solutions to address immediate needs. They will not just fix what is broken, but view their new circumstances as a portal to the next generation of business opportunity.

Respondents Profile



The number of respondents has nearly doubled in the 2011 survey, from 551 to 960

Aon's Global Risk Management Survey, a Web-based biennial research report, was conducted in Q4, 2010 in 10 languages.

The number of respondents has nearly doubled, from 551 in the last survey to 960, representing a broad range of industry sectors and encompassing 58 countries in all regions of the world.

About 44 percent of the participants are privately-owned companies and 40 percent public-owned organizations. The rest are primarily government or not-for-profit entities.

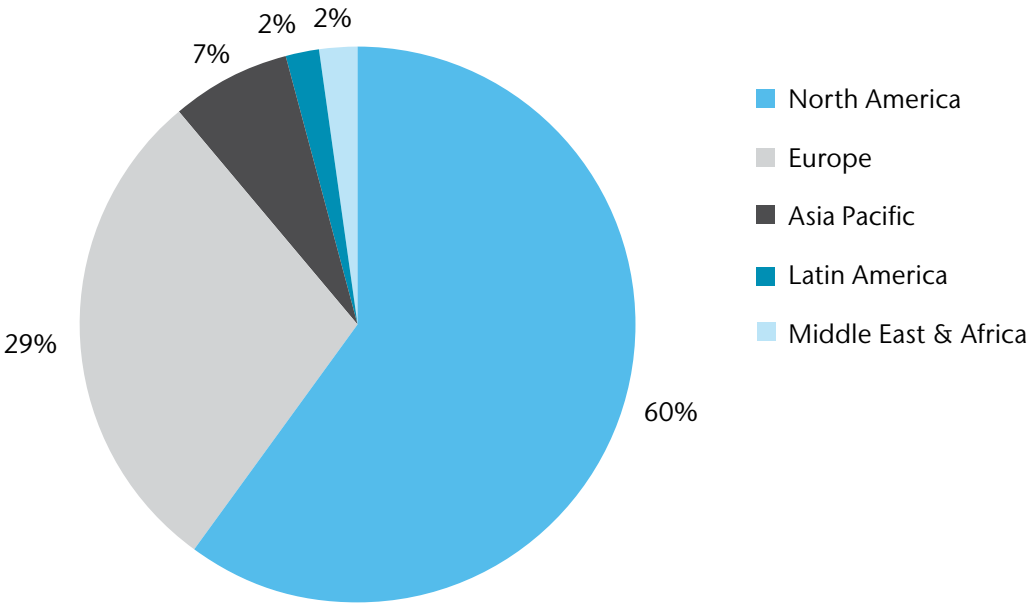
The wide geographical reach and broad coverage of industry sectors have enabled us to provide a global and balanced overview of the risk challenges facing organizations today.

Survey respondents by industry

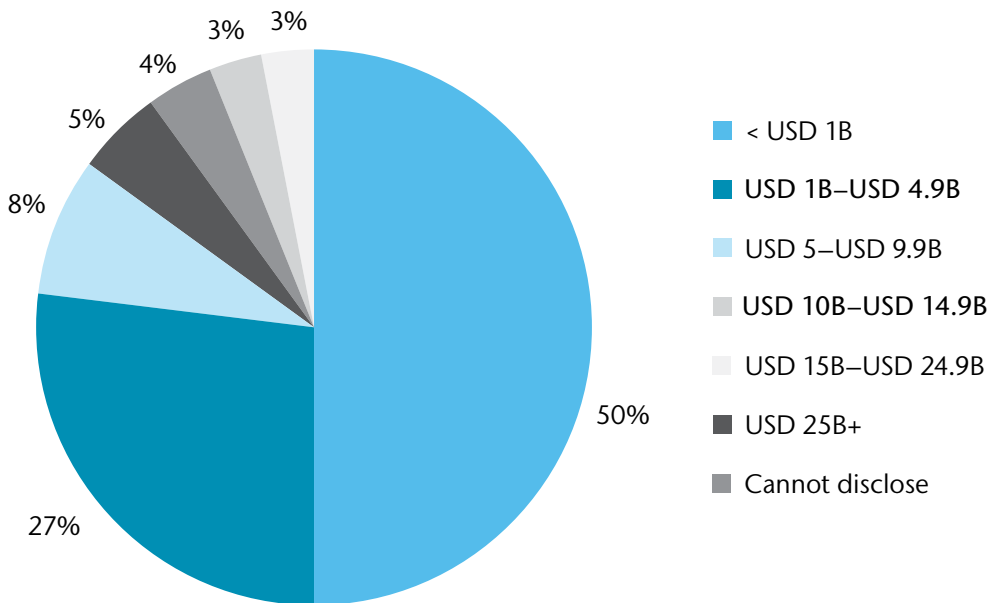
Industry	Percent	Industry	Percent
Agribusiness	2%	Metal Milling and Manufacturing	5%
Aviation	3%	Natural Resources (Oil, Gas and Mining)	4%
Banks	5%	Non-Aviation Transportation Manufacturing	2%
Chemicals	4%	Non-Aviation Transportation Services	4%
Consumer Goods Manufacturing	3%	Pharmaceuticals and Biotechnology	2%
Construction	6%	Printing and Publishing	1%
Educational and Nonprofits	5%	Professional and Personal Services	5%
Food Processing and Distribution	4%	Real Estate	3%
Government	3%	Retail Trade	5%
Health Care	6%	Rubber, Plastics, Stone and Cement	1%
Hotels and Hospitality	3%	Technology	5%
Insurance, Investment and Finance	7%	Telecommunications and Broadcasting	2%
Lumber, Furniture, Paper and Packaging	2%	Utilities	4%
Machinery and Equipment Manufacturers	4%	Wholesale Trade	3%

Footnote: Restaurants included in Hotels and Hospitality; Beverages included in Food Processing and Distribution; Textiles included in Consumer Goods Manufacturing

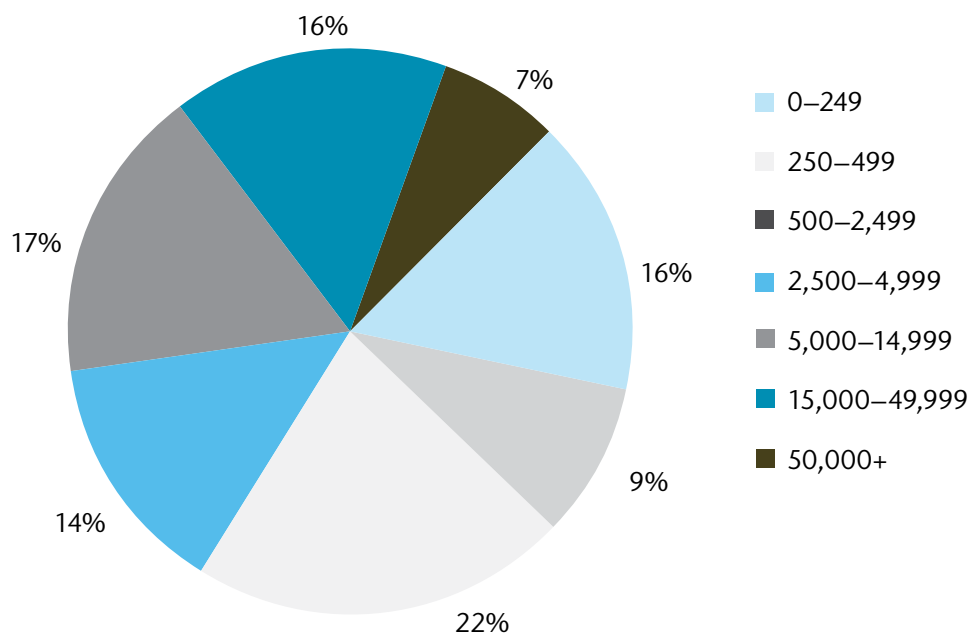
Survey respondents' domicile by region



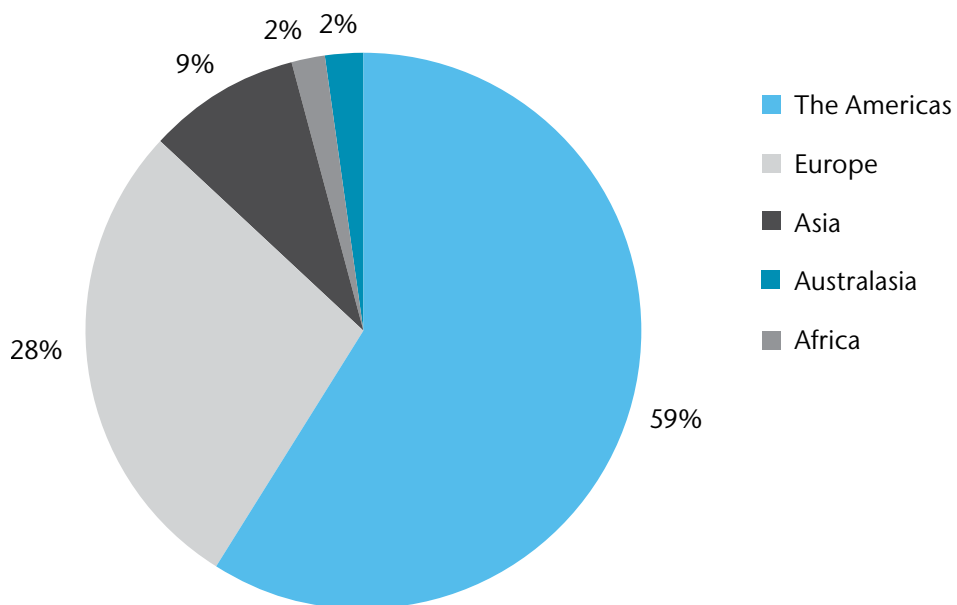
Survey respondents by revenue



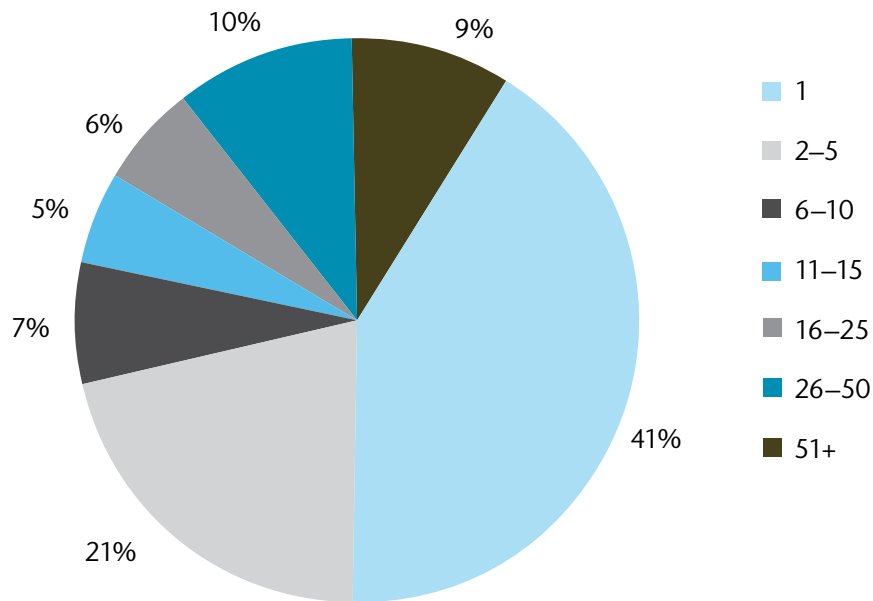
Survey respondents by number of employees



Survey respondents' revenue by area



Survey respondents by number of countries in which they operate



Survey respondents by role

Role	Percentage
Chief Executive	4%
President	1%
Chief Financial Officer	12%
Treasurer	2%
Company Secretary	2%
Chief Operating Officer	2%
Chief Administrative Officer	1%
Chief Risk Officer	9%
Chief Counsel / Head of Legal	2%
Head of HR	1%
Risk Manager	51%
Risk Consultant	3%
Other	10%

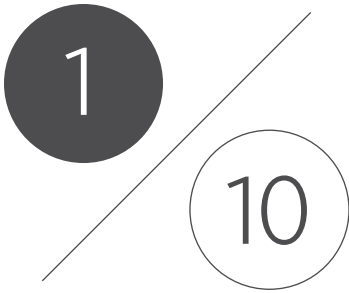
Survey Results—By Numbers

\$87,285,340,714	Total Limit purchased for Umbrella/Excess Liability
\$43,439,471,428	Total Limit purchased for Directors and Officers Liability
\$1,250,000,000	Maximum limit purchased for Umbrella/Excess Liability
\$700,000,000	Maximum limit purchased for Directors & Officers Liability
\$138,989,396	Average limit purchased for Umbrella/Excess Liability
\$71,095,698	Average limit purchased for Umbrella/Excess Liability
\$1,000,000	Minimum limit purchased for Umbrella/Excess Liability
\$500,000	Minimum limit purchased for Directors & Officers Liability
9,566	Number of risk prioritization decisions for top ten risks
960	Companies participated in the survey
667	Companies with risk management department
575	North American companies participated in the survey
437	Companies with more than USD 1B in revenue
421	Private companies participated in the survey
387	Public companies participated in the survey
279	European companies participated in the survey
212	Companies with 15,000+ employees
113	Financial industry companies
89	Companies with operations in more than 50 countries
62	Construction companies participated in the survey
30	German companies
2	Priority ranking of pricing in choice of insurer
1	Ranking of economic slowdown on top ten risk list
89%	Average percentage of companies maintaining retention
69%	Average reported readiness for the top ten risks
63%	Companies that want to see broader coverage/better terms and conditions
59%	Companies in more than one country that control procurement of all insurance centrally
45%	Companies USD 25+ revenue with 6–11 employees in Risk Management Department
39%	Companies measuring Total Cost of Insurable Risk
31%	Companies with a Chief Risk Officer
28%	Average loss of income experienced from top ten risk in the last 12 months
14%	Latin American companies with a captive
9%	Asia Pacific companies that indicated more restricted property cover at renewal
5%	Middle East & African companies indicating initial/lacking based on Aon ERM Maturity Model

Top 10 Risks

For two consecutive surveys, respondents rate economic slowdown as the top risk facing their organizations today. Failure to innovate/meet customer needs and technology failure/system failure enter the top 10 list for the first time. The highest percentage for risk readiness is cited for cash flow/liquidity risk (77 percent). Respondents feel least ready for failure to attract or retain top talent with 60 percent citing this risk.

- 1 Economic slowdown
- 2 Regulatory/legislative changes
- 3 Increased competition
- 4 Damage to reputation and brand
- 5 Business interruption
- 6 Failure to innovate/meet customer needs
- 7 Failure to attract or retain top talent
- 8 Commodity price risk
- 9 Technology failure/system failure
- 10 Cash flow/liquidity risk



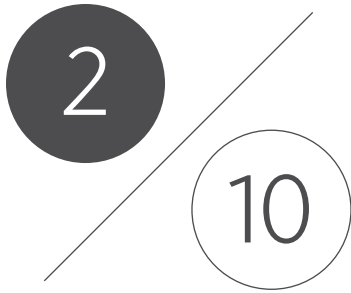
Economic slowdown

While the economic crisis has abated in most parts of the world, organizations are still concerned about a double-dip recession. Fueling this concern are continued high unemployment rates and unease over the debt sustainability of many of the largest economies supported by monetary and fiscal policies that cannot be maintained into perpetuity.

As the economic situation continues to improve, we anticipate that concerns for this risk may gradually recede in the next two years. According to recent estimates, only two out of the world's top 50 countries are predicted by consensus analysts on Bloomberg to experience negative GDP growth in 2011. This compares very favorably to 2009 when 32 countries suffered negative growth.

- #1 risk across all geographies
- #1 risk in 17 out of the 27 surveyed industries
- Risk that has led to the greatest reported income loss last year





Regulatory/ legislative changes

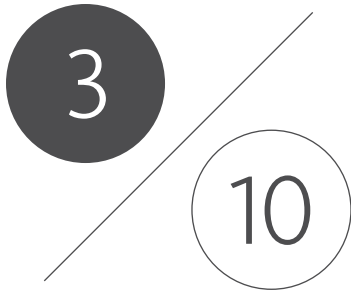
Risks related to regulatory and legislative changes involve the inability of an organization to comply with current, changing or new regulations. Failure in compliance can result in severe consequences, including direct penalties in the short term and the loss of markets, reputation and customers in the long term.

In the past, regulatory and legislative changes normally took shape in a gradual process, allowing companies some time to formulate responses or coping strategies. This is not always the case now. The regulatory changes in the United States following the credit crunch in 2009 has demonstrated the fast speed at which important regulation with far-reaching impacts can be enacted.

In addition, regulatory changes, even small ones, can add tremendous cost to corporations. For example, the insurance industry in Europe planned to spend at least EUR 3 billion in compliance with a new capital directive (Solvency II) which is to become effective by the end of 2012. In a related Accenture survey, 57 percent of the respondents said they would spend more than what had been initially budgeted in preparing changes to meet the requirements of this new regulation.

- One of 3 top risks cited by 17 out of the 27 surveyed industries
- #3 risk reported by CEO/President and CFO/Treasurer
- Banks have reported the greatest losses related to this risk last year

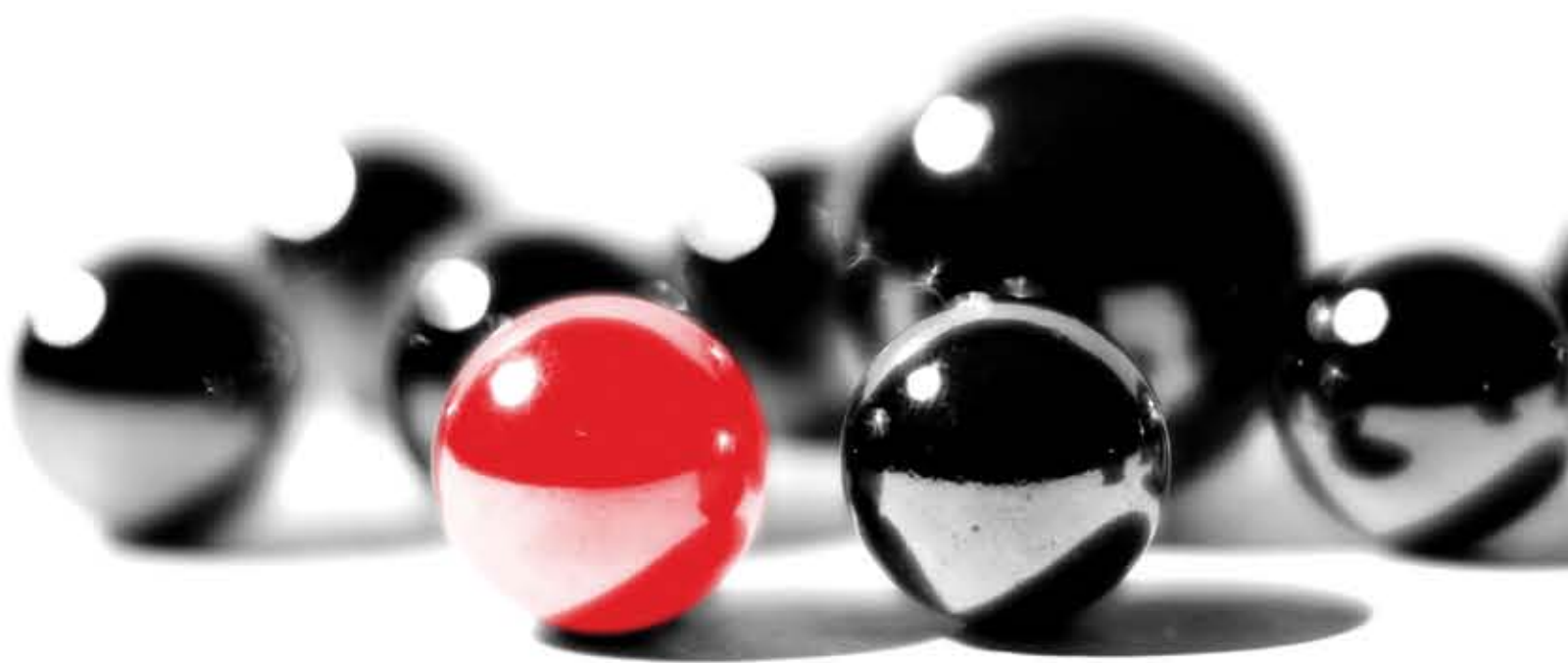


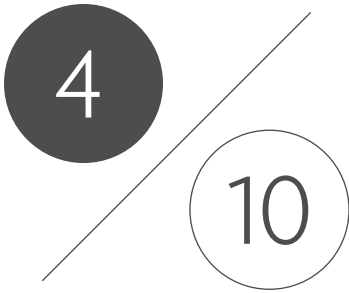


Increased competition

Many variables can impact the competitive position of an organization in a certain industry sector—entry of new competitors, changes in consumer trends, advancements in technology, regulatory changes, economic trends, use of lower-cost resources from developing economies and aggressive strategies by competitors. In this rapidly changing marketplace, failure to adequately address these and other market changes could lead to irreversible loss of market share.

- #1 risk for Latin America
- #1 risk for the wholesale trade industry
- #2 risk reported by CEO, CFO and Chief Legal Counsel
- More than 70 percent of respondents in the construction and telecommunications and broadcasting industries have reported losses last year due to increased competition

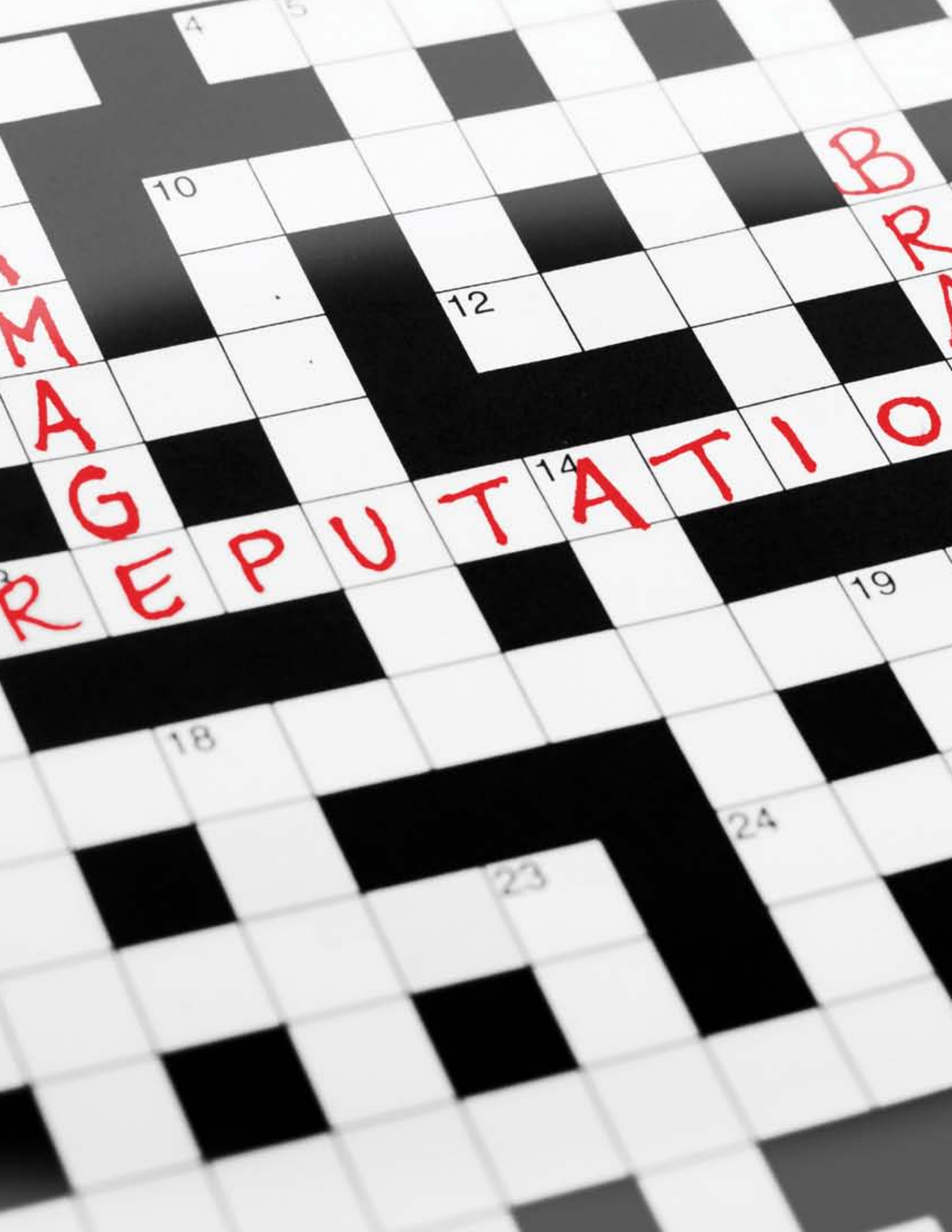




Damage to reputation and brand

Corporate reputation is one of the most important corporate assets and also one of the most difficult to protect. The recent financial crisis and several high-profiled industrial accidents and recalls have made organizations realize the urgency of protecting their reputation, which can take years to build but can be destroyed overnight. Nowadays, complex global supply chains and an Internet-spawned 24-hour news cycle fueled by social media have posed additional challenges for companies to manage risks related to their reputation and brand. While some consider damage to reputation a risk in its own right, others may consider it as a consequence of other risks; either way, it is clear that all risks may impact or be impacted by damage to reputation.

- #1 risk in food processing and distribution industry
- #2 risk cited by companies in the United Kingdom
- Ranking increases when number of employees increases



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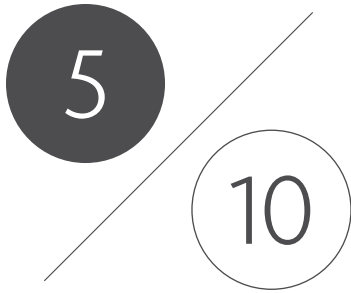
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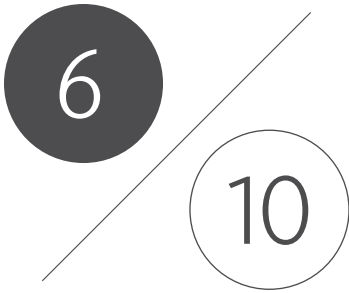


Business interruption

Business interruption refers to an anticipated or unanticipated disruption of an organization's normal operations. Losses can arise from many sources, some manmade, others natural. The factors that contribute to business interruption are often sudden and can change rapidly, making it a challenging risk to understand and manage. Some of these exposures can be insured while others can only be mitigated. As companies expand overseas, the interdependence of global business partners as well as outsourcing and offshoring, have increased their international exposures, which are more volatile and complicated.

- Down from #3 in 2009 and #2 in 2007
- #2 risk for pharmaceutical and biotechnology, and hotels and hospitality industries
- Nearly 7 in 10 respondents have a plan for or have undertaken formal review of this risk
- 20 percent indicate income loss due to this risk in the 12 months





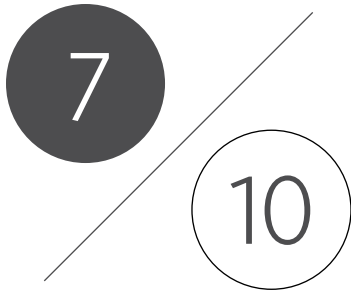
Failure to innovate/ meet customer needs

Failure to innovate/meet customer needs has, for the first time, entered the top 10 risk rank since the start of this survey in 2007. In the tough battle to win the hearts and minds of customers, who demand newer, better and faster delivery of services and products, companies can rapidly lose market share if they fail to invest in innovative products.

According to the World Intellectual Property Organization, the number of applications for global patents rose 10 percent in 2010, from 155,398 in 2009, when the economic crisis had induced a significant drop. WIPO expects the number to grow steadily in the next two years. As businesses are gradually expanding, innovation will become a leading industry differentiator.

- Jump to #6, from #15 in 2009
- #1 risk in Belgium and #2 in the Netherlands
- Ranked #1 or #2 by respondents in the machinery and equipment, non-aviation transportation, printing and publishing and technology industries
- 68 percent have a plan for or have undertaken a formal review of this risk





Failure to attract or retain top talent

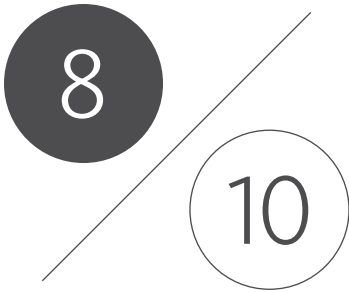
Ranked at the bottom of the top 10 risks in 2009, when companies were going through massive layoffs to stave off the impact of the financial crisis, failure to attract and retain top talent has moved to number seven in the current survey.

This seems to correspond with the changing business environments, which are straining the process of recruiting top industry talent, forcing organizations to develop strategic plans that address demographic shifts in the workforce, talent shortages, economic pressures and globalization. Securing, retaining and maximizing talent require a thoughtfully designed talent strategy—one that includes rigorous and appropriate recruitment, assessment and development. As the global pool of available candidates becomes increasingly smaller, the ability to attract top talent has significant bottom-line implications.

Interestingly, while companies rank it as a top 10 risk, 60 percent of respondents say they currently do not have a plan in place to address this risk and only four percent use third-party consultants for talent recruitment and retention strategies. With limited resources allocated, it is difficult to foresee how this risk will be mitigated in the future.

- #1 risk in the government sector
- #2 risk for surveyed Canadian companies
- #2 risk cited in the Asia Pacific region
- #3 risk in professional and personal services

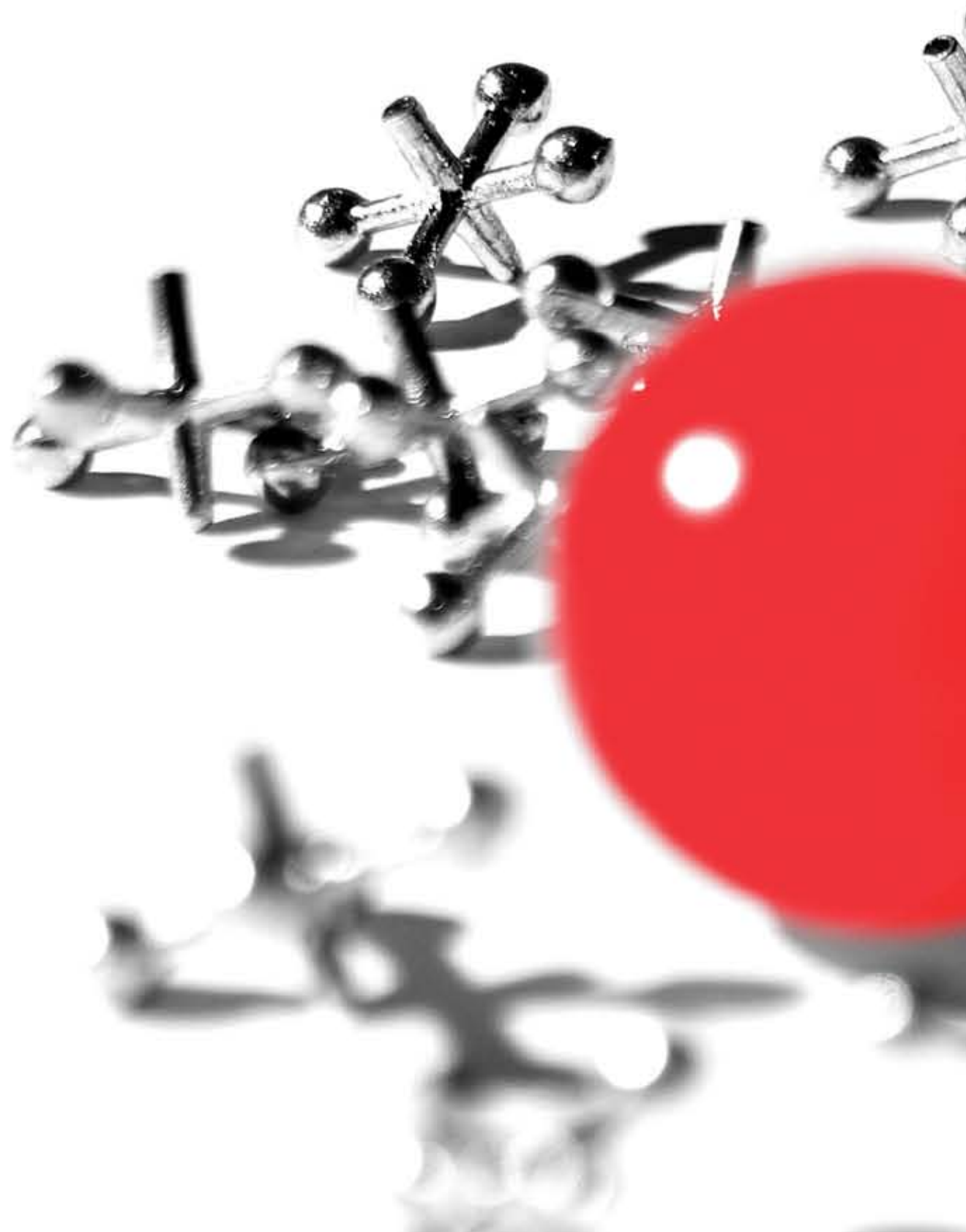


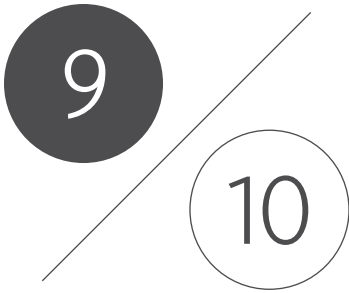


Commodity price risk

A surge in commodity prices occurred toward the end of 2010, after the survey had been conducted. For example, The Economist commodity index was up by an annualized 7 percent in June 2010 but up over 33 percent by December that year. Therefore, we believe that the stability of commodity price looms as a bigger concern for many organizations than this ranking might suggest. Of principal concern is the price of energy, influenced by potential political conflicts and natural disasters in the regions of major oil producers. It is hard to think of a corporation that is not affected either directly or indirectly by commodity prices in general, and specifically the price of energy.

- #1 risk rated by the natural resources (oil, gas and mining) and food processing and distribution industries
- #2 risk for German companies
- 76 percent have reported related income losses
- Over 70 percent have a plan for or have undertaken a formal review of this risk



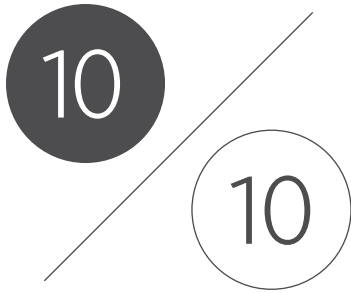


Technology failure/ system failure

Technology failure/system failure has showed up on the list of top 10 risks for the first time since the start of the survey in 2007. This is no doubt due to its impact on other risks. With the heavy reliance on their technological infrastructure, businesses are becoming more vulnerable to system failures, which have led to business interruptions, damage to reputation and loss of customers. This risk will only continue to grow as businesses are investing more heavily in technology. According to Gartner, Inc., the spending on servers by businesses worldwide increased 13 percent in 2010.

- 1st time on the top 10 risk list
- Rated a higher concern for aviation, non-aviation transportation services, pharmaceuticals and biotechnology and telecommunications and broadcasting industries
- Top 10 risk in all regions except North America, where it is #15
- Latin America is the least prepared and has reported the most losses related to this risk last year

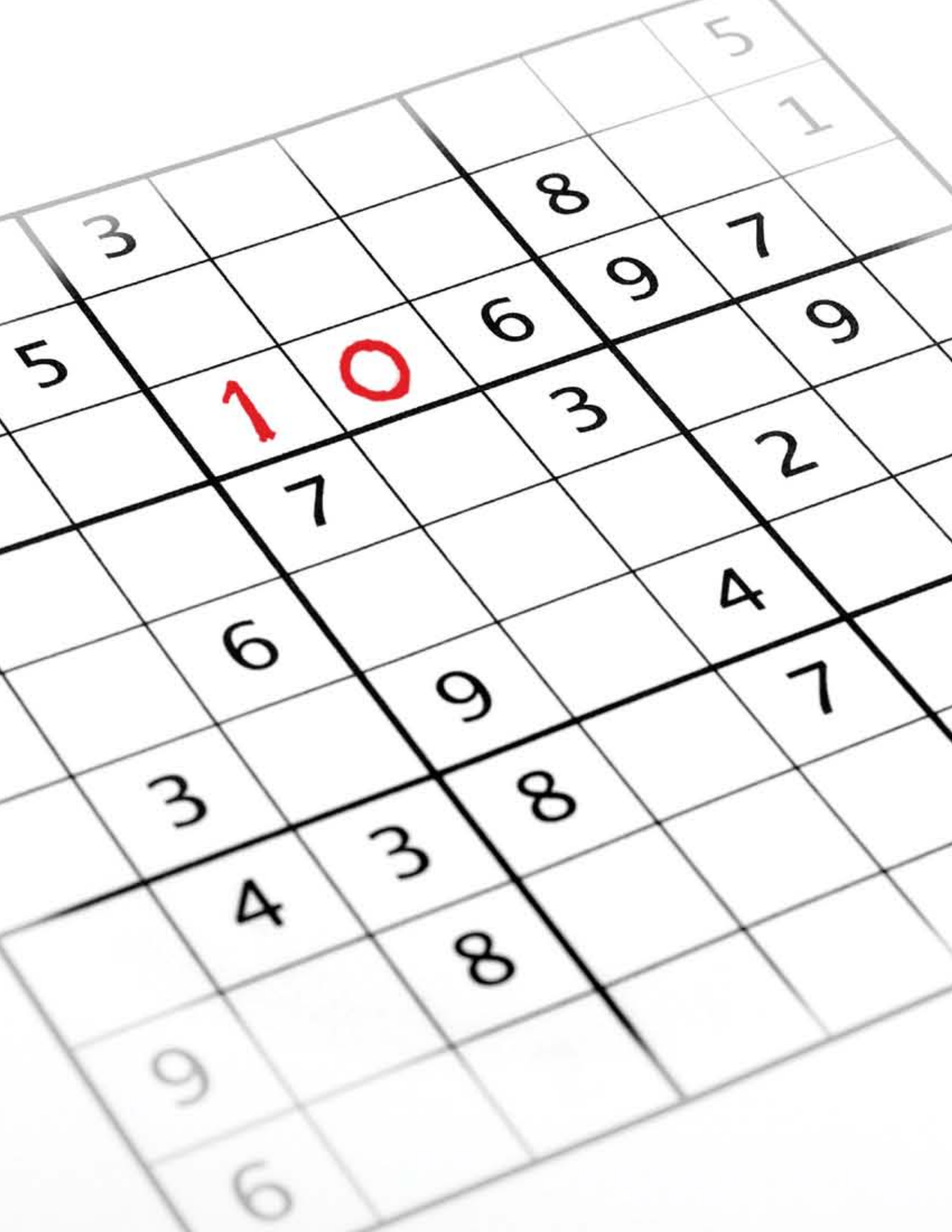




Cash flow/ liquidity risk

Cash flow/liquidity risk has dropped from number seven in 2009 to number 10 in this survey. The current economic recovery has probably precipitated the drop. The prolonged period of low-interest rates globally and a revival of investor confidence have enabled corporations to access relatively cheap short-to-medium term funding sources. According to Moody's global speculative grade corporate study, the corporate default rate dropped to 3.3 percent in November 2010, from 13.6 percent a year before. Even so, the survey reveals that organization still consider cash flow/liquidity a substantial risk in the aftermath of the financial crisis.

- Jumped from #26 in 2007 to #10 in 2011
- The highest level of preparedness among the top 10 risks, at 77 percent
- Higher concerns for companies with revenues of under USD 1 billion
- A greater concern for companies in Latin America than other regions



Top 10 risks

Risk rank	2011	2009	2007
1	Economic slowdown	Economic slowdown	Damage to reputation
2	Regulatory/legislative changes	Regulatory/legislative changes	Business interruption
3	Increasing competition	Business interruption	Third-party liability
4	Damage to reputation/brand	Increasing competition	Distribution or supply chain failure
5	Business interruption	Commodity price risk	Market environment
6	Failure to innovate/meet customer needs	Damage to reputation	Regulatory/legislative changes
7	Failure to attract or retain top talent	Cash flow/liquidity risk	Failure to attract or retain staff
8	Commodity price risk	Distribution or supply chain failure	Market risk (financial)
9	Technology failure/system failure	Third-party liability	Physical damage
10	Cash flow/liquidity risk	Failure to attract or retain top talent	Merger/acquisition/restructuring Failure of disaster recovery plan

Top 10 risks by region

	Asia Pacific	Europe	Latin America	Middle East & Africa	North America
1	Economic slowdown	Economic slowdown	Economic slowdown	Economic slowdown	Economic slowdown
2	Failure to attract or retain top talent	Increasing competition	Increasing competition	Regulatory/legislative changes	Regulatory/legislative changes
3	Increasing competition	Regulatory/legislative changes	Crime/Theft/Fraud/ Employee Dishonesty	Damage to reputation/ brand	Increasing competition
4	Damage to reputation/ brand	Damage to reputation/ brand	Commodity price risk	Increasing competition	Damage to reputation/ brand
5	Exchange rate fluctuation	Business interruption	Weather/natural disasters	Failure to innovate/ meet customer needs	Failure to attract or retain top talent
6	Regulatory/ legislative changes	Exchange rate fluctuation	Damage to reputation/ brand	Technology failure/ system failure	Failure to innovate/ meet customer needs
7	Business interruption	Commodity price risk	Cash flow/liquidity risk	Merger/acquisition/ restructuring	Business interruption
8	Failure to innovate/ meet customer needs	Failure to innovate/ meet customer needs	Technology failure/ system failure	Lack of technology infrastructure to support business needs	Capital availability/ credit risk
9	Commodity price risk	Technology failure/ system failure	Political risk/ uncertainties	Failure to attract or retain top talent	Cash flow/liquidity risk
10	Technology failure/ system failure	Failure to attract or retain top talent	Failure to innovate/ meet customer needs	Capital availability/ credit risk	Third-party liability

Note: In Europe risks 9 and 10 are tied for ninth. In Latin America risks 1–3 are tied for first and risks 4–8 are tied for fourth. In the Middle East & Africa risks 1 and 2 are tied for first, risk 4 and 5 are tied for fourth and risks 7–9 are tied for seventh. In North America risks 9 and 10 are tied for ninth.

Top 3 risks by industry

Industry	Key Risk 1	Key Risk 2	Key Risk 3
Agribusiness	Regulatory/legislative changes	Commodity price risk	Product recall
Aviation	Economic slowdown	Increasing competition	Regulatory/legislative changes, Third party liability
Banks	Economic slowdown	Regulatory/legislative changes	Capital availability/credit risk
Chemicals	Economic slowdown	Regulatory/legislative changes*	Commodity price risk, Business interruption
Construction	Economic slowdown	Increasing competition	Damage to reputation/brand
Consumer Goods Manufacturing	Economic slowdown	Increasing competition	Distribution or supply chain failure
Educational and Nonprofits	Regulatory/legislative changes	Economic slowdown	Damage to reputation/brand**
Food Processing and Distribution	Commodity price risk	Damage to reputation/brand*	Product recall
Government	Economic slowdown	Regulatory/legislative changes*	Failure to attract or retain top talent*
Health Care	Regulatory/legislative changes	Increasing competition	Economic slowdown
Hotels and Hospitality	Economic slowdown	Business interruption	Regulatory/legislative changes
Insurance, Investment and Finance	Regulatory/legislative changes	Economic slowdown	Damage to reputation/brand
Lumber, Furniture, Paper and Packaging	Economic slowdown	Commodity price risk	Regulatory/legislative changes, Exchange rate fluctuation, Business interruption
Machinery and Equipment Manufacturers	Economic slowdown	Failure to innovate/meet customer needs	Regulatory/legislative changes, Distribution or supply chain failure
Metal Milling and Manufacturing	Economic slowdown	Commodity price risk	Business interruption
Natural Resources (Oil, Gas and Mining)	Commodity price risk	Political risk/uncertainties	Regulatory/legislative changes**
Non-Aviation Transportation Manufacturing	Economic slowdown	Commodity price risk	Increasing competition, Failure to innovate/meet customer needs, Distribution or supply chain failure**
Non-Aviation Transportation Services	Economic slowdown	Regulatory/legislative changes*	Increasing competition
Pharmaceuticals and Biotechnology	Regulatory/legislative changes	Business interruption	Distribution or supply chain failure**
Professional and Personal Services	Economic slowdown	Professional indemnity/errors and omissions liability	Failure to attract or retain top talent
Real Estate	Economic slowdown	Damage to reputation/brand	Physical damage**
Retail Trade	Economic slowdown	Damage to reputation/brand	Increasing competition
Rubber, Plastics, Stone and Cement	Economic slowdown	Commodity price risk	Failure to innovate/meet customer needs, Business interruption
Technology	Economic slowdown	Failure to innovate/meet customer needs	Increasing competition
Telecommunications and Broadcasting	Regulatory/legislative changes	Increasing competition	Economic slowdown, Business interruption, Computer Crime/Hacking/ Viruses/Malicious Codes
Utilities	Regulatory/legislative changes	Economic slowdown	Commodity price risk
Wholesale Trade	Increasing competition	Economic slowdown	Regulatory/legislative changes

*Tie for #1 risk

**Tie for #2 risk

Risk readiness for the 10 risks

Risk readiness means a company has a comprehensive plan in place to address risks or has undertaken a formal review of those risks. Comparing with results in the 2009 survey, overall readiness for the top 10 risks remains approximately the same—69 percent of respondents indicate that they feel adequately prepared.

For each individual risk on the top 10 list, respondents register the highest percentage of readiness for cash flow/liquidity (77 percent), a slight uptick from 75 percent in the prior survey. Sixty-four percent say their organizations are prepared to handle the impact of the economic slowdown, compared with 60 percent in 2009. Sixty-five percent say their organizations are prepared to handle the impact of the economic slowdown, compared with 60 percent in 2009. Sixty-five percent feel ready for regulatory/legislative changes, unchanged from 2009, while 71 percent for increased competition, the same as 2009.

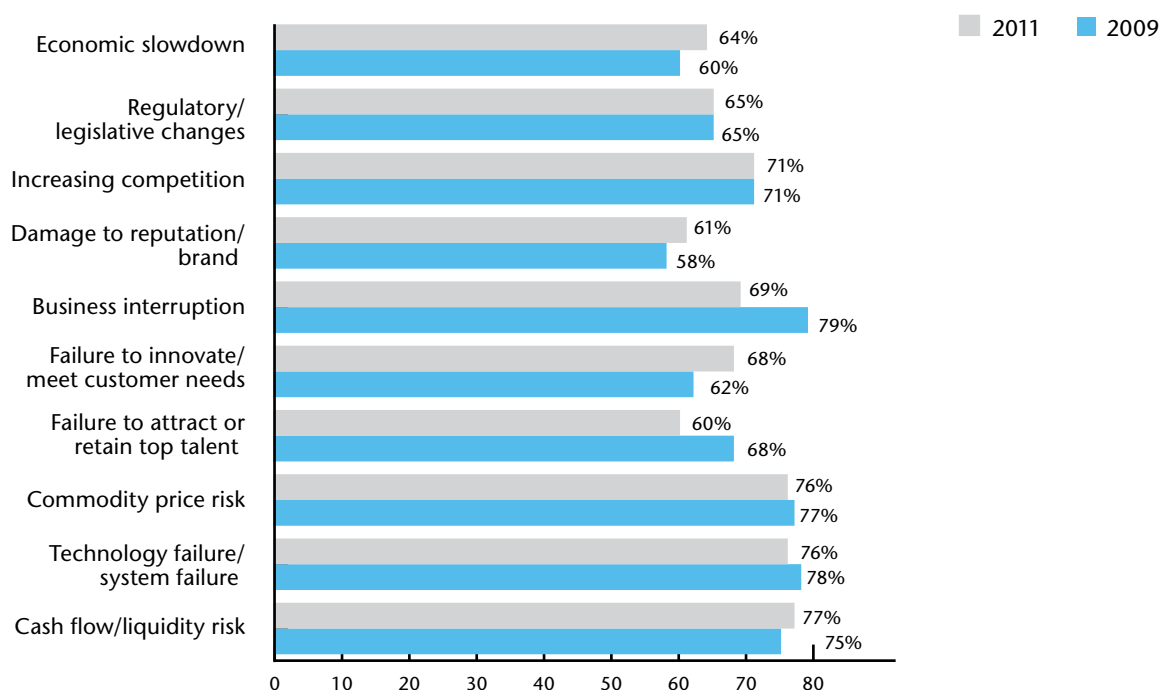
Two risks that respondents have identified as the most difficult to manage and the least ready for are failure to attract or retain top talent (40 percent) and damage to reputation/brand (39 percent). These are typically more complex, difficult to control, carry a

degree of unpredictability and are enterprise-wide. While difficult to manage and substantially uninsurable, these risks must still be addressed and require innovative forward-looking solutions.

As risk and risk management practices receive increased attention and scrutiny from key stakeholders, and with the economic expansion underway, we expect there will be an upward trend toward risk readiness in the next two years.

Failure to attract or retain top talent and damage to reputation/brand are cited as the most difficult to manage

Reported readiness for top 10 risks



Average reported readiness for top 10 risks by industry

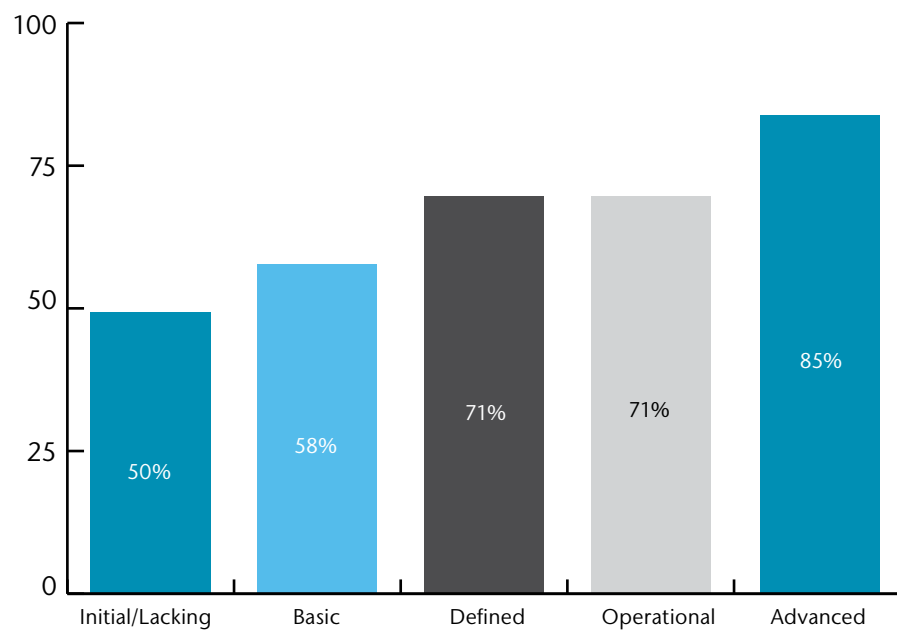
Industry	2011	2009	Change
Utilities	82%	83%	-1%
Chemicals	82%	54%	28%
Retail Trade	79%	64%	15%
Banks	77%	72%	5%
Telecommunications and Broadcasting	75%	83%	-8%
Health Care	74%	68%	6%
Real Estate	71%	87%	-16%
Technology	71%	74%	-3%
Hotels and Hospitality	71%	63%	8%
Lumber, Furniture, Paper and Packaging	70%	82%	-12%
Rubber, Plastics, Stone and Cement	70%	79%	-9%
Non-Aviation Transportation Services	70%	78%	-8%
Professional and Personal Services	70%	57%	13%
Government	70%	N/A*	N/A
Natural Resources (Oil, Gas and Mining)	69%	83%	-14%
Educational and Nonprofits	69%	56%	13%
Insurance, Investment and Finance	68%	73%	-5%
Consumer Goods Manufacturing	67%	72%	-5%
Construction	67%	57%	10%
Food Processing and Distribution	66%	76%	-10%
Wholesale Trade	65%	78%	-13%
Aviation	64%	N/A	N/A
Metal Milling and Manufacturing	62%	79%	-17%
Machinery and Equipment Manufacturers	62%	68%	-6%
Agribusiness	60%	66%	-6%
Pharmaceuticals and Biotechnology	58%	65%	-7%
Non-Aviation Transportation Manufacturing	58%	58%	0%

■ Notable change compared to 2009

Average reported readiness for top 10 risks by region

Region	2011	2009
Asia Pacific	70%	74%
North America	70%	66%
Europe	67%	69%
Latin America	63%	69%
Middle East & Africa	62%	67%

Reported readiness from top 10 risks by ERM Maturity Model



Losses associated with top 10 risks

Similar to 2009, topping the list of income losses in the past 12 months relating to the most cited risks are economic slowdown and commodity price, followed by increased competition. Sixty-seven percent of the respondents say they have experienced loss of income from the economic slowdown, up from 57 percent in 2009. Two attributable factors are:

- The 2009 survey was conducted at the end of 2008, when the financial crisis was at its peak. Depending on the industry, the losses from the crisis might not have thoroughly assessed the losses yet.
- The increase also reflects the continued challenges companies are facing during the slow economic recovery.

The percentage of companies reporting commodity price-related losses has dropped from 57 percent in 2009 to 45 percent in the current survey. The decrease corresponds with its drop in overall risk ranking from fifth in 2009 to eighth this year (we discussed this earlier). It is also interesting that, similar to results in prior surveys, over 75 percent of respondents mention that they have plans in

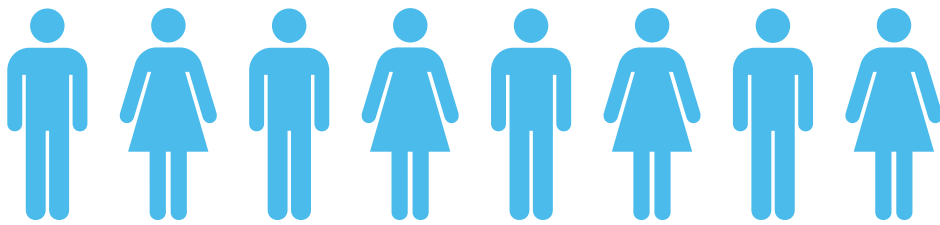
place to address this risk or have undertaken a formal review of the risk, and yet 45 percent are unable to avoid a loss. This is consistent with expectations for companies who are highly exposed to commodity price risk, where even with the right planning in place, companies will not always be able to prevent losses.

Economic slowdown and commodity price top the list of losses arising from the top 10 risks

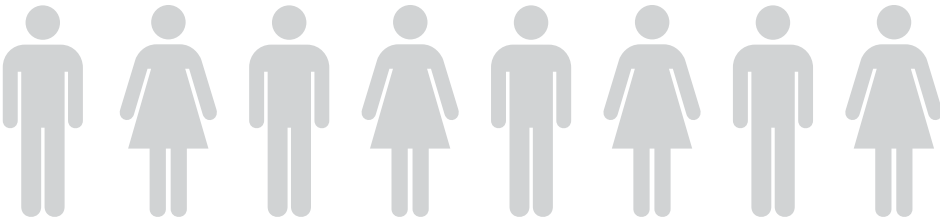
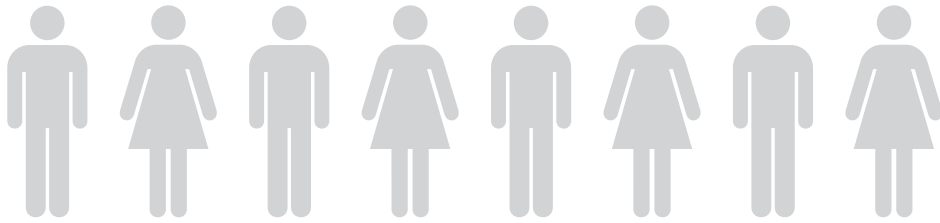
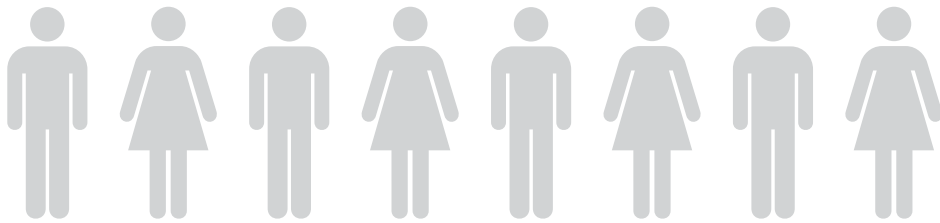
Losses from top 10 risks

Risk rank	Risk description	2011: Loss of income in last 12 months	2009: Loss of income in last 12 months
1	Economic slowdown	67%	57%
2	Regulatory/legislative changes	22%	24%
3	Increasing competition	42%	39%
4	Damage to reputation/brand	8%	9%
5	Business interruption	20%	30%
6	Failure to innovate/meet customer needs	20%	13%
7	Failure to attract or retain top talent	14%	16%
8	Commodity price risk	45%	57%
9	Technology failure/system failure	14%	11%
10	Cash flow/liquidity risk	18%	25%





On average, 27%
have reported loss
of income from the
top 10 risks



Average reported loss of income from top 10 risks by industry

Industry	2011: Average loss of income experienced from top ten risk in the last 12 months	2009: Average loss of income experienced from top ten risk in the last 12 months
Agribusiness	22%	33%
Aviation	35%	N/A
Banks	36%	29%
Chemicals	29%	26%
Construction	37%	40%
Consumer Goods Manufacturing	25%	44%
Educational and Nonprofits	21%	33%
Food Processing and Distribution	26%	29%
Government	25%	N/A
Health Care	27%	22%
Hotels and Hospitality	29%	30%
Insurance, Investment and Finance	24%	30%
Lumber, Furniture, Paper and Packaging	43%	42%
Machinery and Equipment Manufacturers	31%	36%
Metal Milling and Manufacturing	37%	34%
Natural Resources (Oil, Gas and Mining)	28%	34%
Non-Aviation Transportation Manufacturing	22%	34%
Non-Aviation Transportation Services	32%	34%
Pharmaceuticals and Biotechnology	11%	40%
Professional and Personal Services	25%	25%
Real Estate	26%	30%
Retail Trade	30%	36%
Rubber, Plastics, Stone and Cement	26%	34%
Technology	20%	31%
Telecommunications and Broadcasting	36%	32%
Utilities	32%	39%
Wholesale Trade	27%	34%

Average reported loss of income from top 10 risks by region

Region	2011: Average loss of income experienced from top ten risk in the last 12 months	2009: Average loss of income experienced from top ten risk in the last 12 months
Latin America	32%	29%
Europe	31%	33%
Asia Pacific	30%	37%
North America	26%	33%
Middle East & Africa	20%	39%

Identifying, Assessing, Measuring and Managing Risk

The majority of respondents consider lowering total cost of risk as one of the top benefits of investing in risk management (61 percent), yet only 39 percent have tracked and managed all components of their TCOR, down from 44 percent in 2009. Senior management's intuition and experience remains the primary method used by survey respondents to identify and assess major risks facing their organizations.

Measuring Total Cost of Risks

It is difficult to manage what is not measured. There is a continued downward trend in the measurement of TCOR and each of its components. Only 39 percent of respondents in the 2011 survey report they have tracked and managed all components of their TCOR, down from 44 percent in 2009. This downward trend could be influenced by the decreasing cost as a result of the continued soft pricing environment. With limited resources, organizations tend to monitor rising expenses, rather than decreasing ones. As the market hardens, we expect the percentage of organizations measuring their TCOR components will go up. Nonetheless, in the long run, failure to track and manage all aspects of TCOR could be detrimental to an organization.

An organization's TCOR comprises risk transfer costs (insurance premiums) plus risk retention costs (retained losses and claims adjustment costs) plus external (brokers, consultants and other vendors) and internal (staff and related) risk management costs. When asked about how they measure each element of TCOR, risk transfer costs are the element most measured, by 86 percent of respondents, down from 92 percent in 2009. Risk retention costs are measured by 66 percent, vs. 74 percent in 2009. Fifty-five percent track external risk management costs, down from 60 percent, while 39 percent measure internal risk management costs, down from 44 percent in the earlier survey.

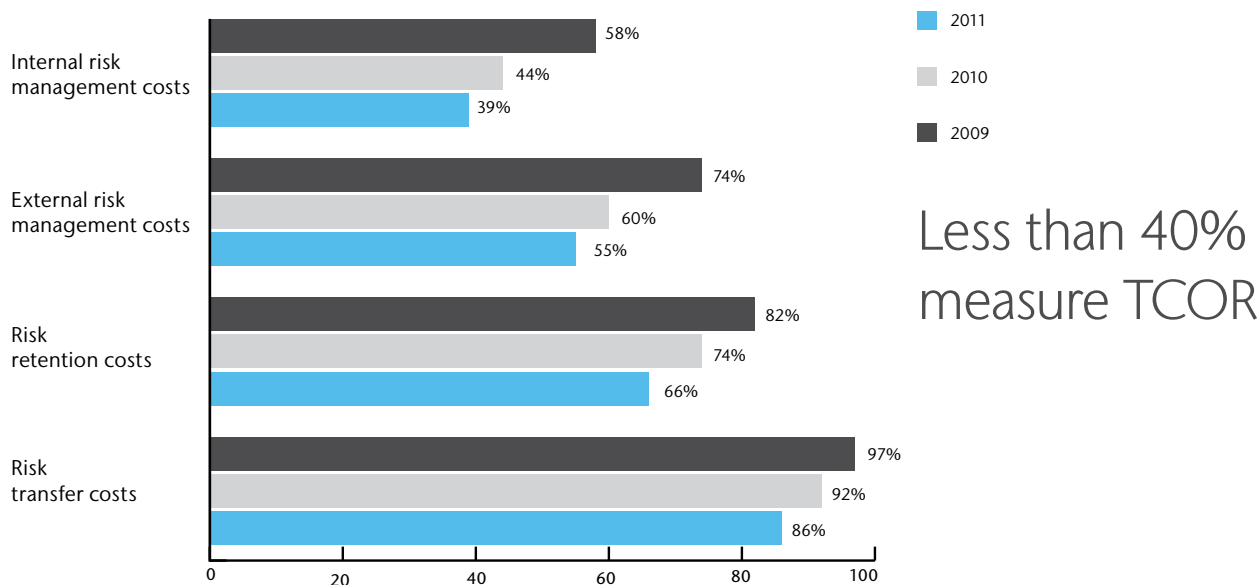
Among the reasons cited for failure to measure all TCOR components, 39 percent attribute it to shrinking resources/expertise and 36 percent say they lack data/information. Thirty percent of respondents do not find the process valuable.

The percentage of respondents measuring full TCOR is correlated to an organization's size. Forty-nine percent of companies with revenues of USD 1 billion or more measure full TCOR, whereas only 30 percent of companies under USD 1 billion do. Organizations with formal risk management departments are more likely to measure their full TCOR (49 percent), than those without one (16 percent). This could suggest that companies with higher revenues and/or with risk management departments might have more resources to focus on measuring the full TCOR.

Reasons for not measuring all the elements of TCOR

Category	Percentage
Lack of resources/expertise	39%
Lack of data/information	36%
Don't find the process valuable	30%
Don't measure cost of risk	21%

Elements of TCOR measured



Identifying & assessing major risks

Senior management's intuition and experience remains the primary method used by survey respondents to identify and assess major risks facing their organizations, followed by business unit risk registers or key risk indicator worksheets and structured enterprise-wide approach. In practice, respondents are probably using a combination of the above methods but may not yet use a formal risk assessment and prioritization approach to consistently focus management attention and resources on the core risks.

Should organizations relying predominantly or exclusively on management experience and intuition for their major risk decisions be concerned?

In today's fast evolving business environment, where the past may not always be the best predictor of the future, exclusive reliance on senior management's intuition and experience to identify and assess risks could result in a significant loss to an organization. Some of the reasons include:

- risk identification based on experience tend to miss emerging or new risks;
- risk identification based on intuition may not be consistent across the organization or over time, and may not be given credence by others; and
- there may be a tendency toward risk aversion by managers with the view—"better safe than sorry."

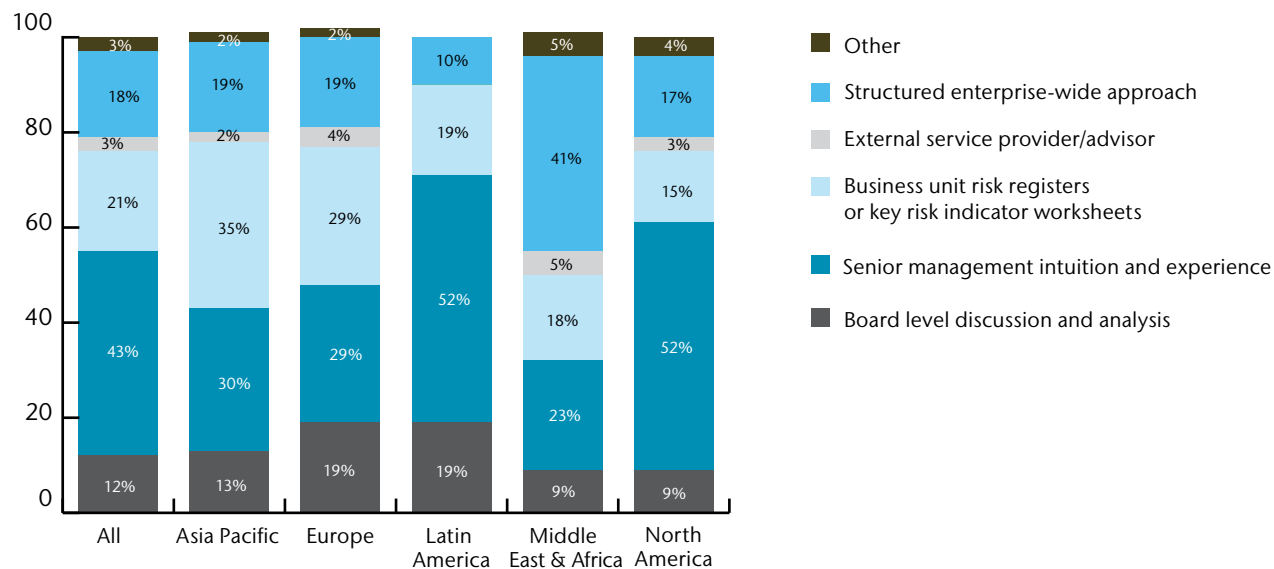
On the other hand, the use of business unit risk registers and enterprise-wide approach to identify and assess risk is more desirable than the use of senior management intuition and experience, adding depth to the process and enabling the organization to more effectively assess the potential impact of an identified risk on the organization so it can deploy appropriate resources for treatment.

The size of the organization appears to play a role in whether or not an organization utilizes a structured enterprise-wide approach in the identification and assessment of risk. As an organization's revenue size increases, so does the probability that a more sophisticated approach is utilized, which requires both dedicated resources and management support.

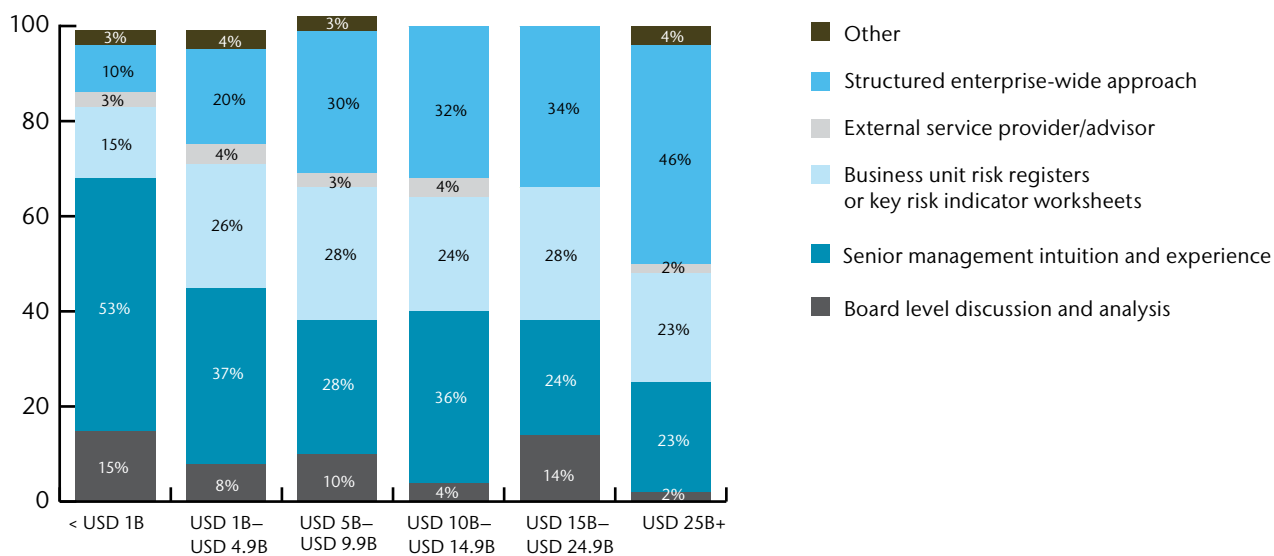
As risks increase in complexity, organizations must integrate intuition and experience with appropriate analytics to make the most informed objective and proactive decisions.

Senior management's intuition and experience remains the primary method used by survey respondents to identify and assess major risks facing their organizations

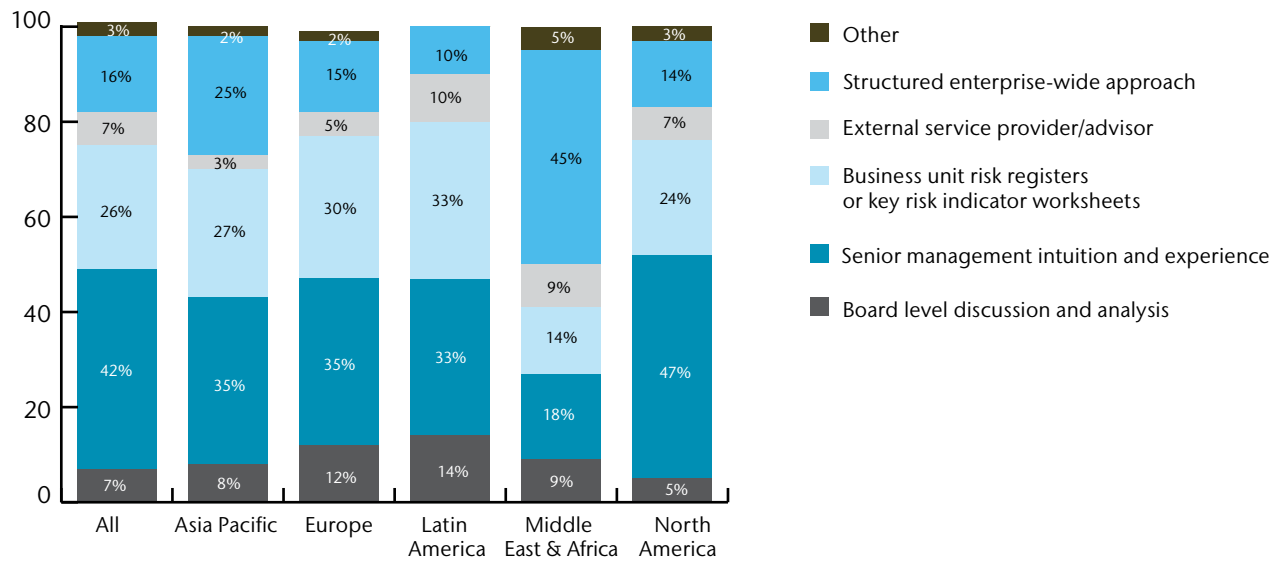
Identification by region



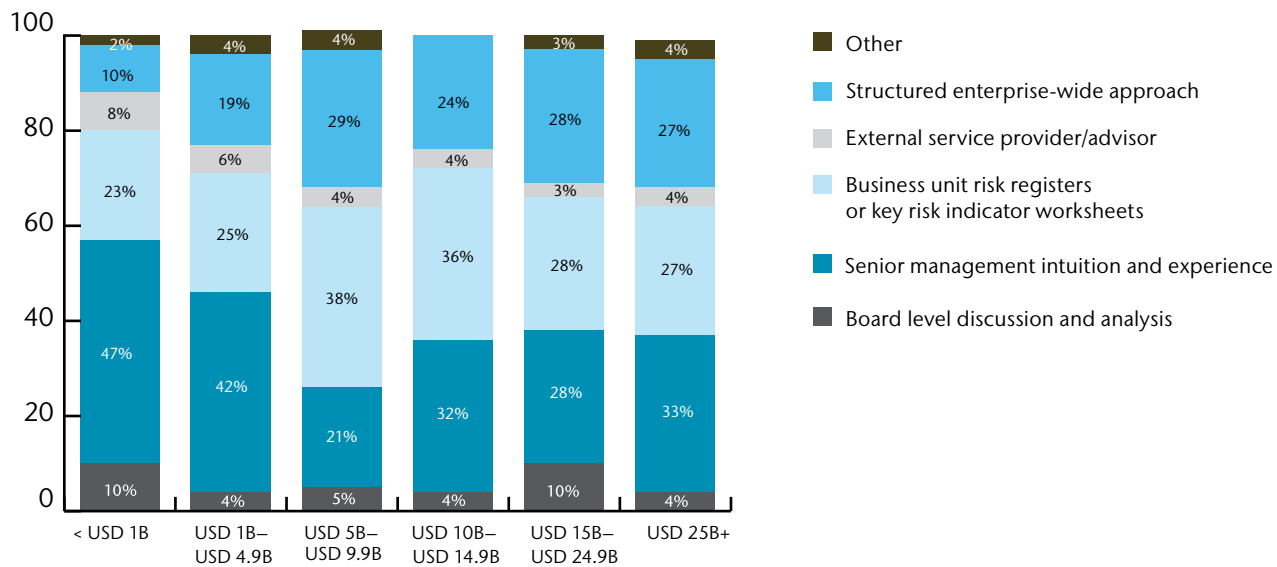
Identification by revenue



Assessment by region



Assessment by revenue



Determining limits of insurance

More companies have started to rely on brokers or independent consultants as the primary source to assist them in determining what limits of insurance to buy. In the 2011 survey, 34 percent of respondents say they use brokers or independent consultants, up from 23 percent in 2007. This is a positive trend, as brokers or independent consultants typically would take a comprehensive approach, utilizing a combination of benchmarking and analytical tools and methods to advise their clients on the optimal limits to purchase. That probably explains why the percentage of organizations using benchmarking against peers has dropped from 29 percent in 2007 to 16 percent in 2011.

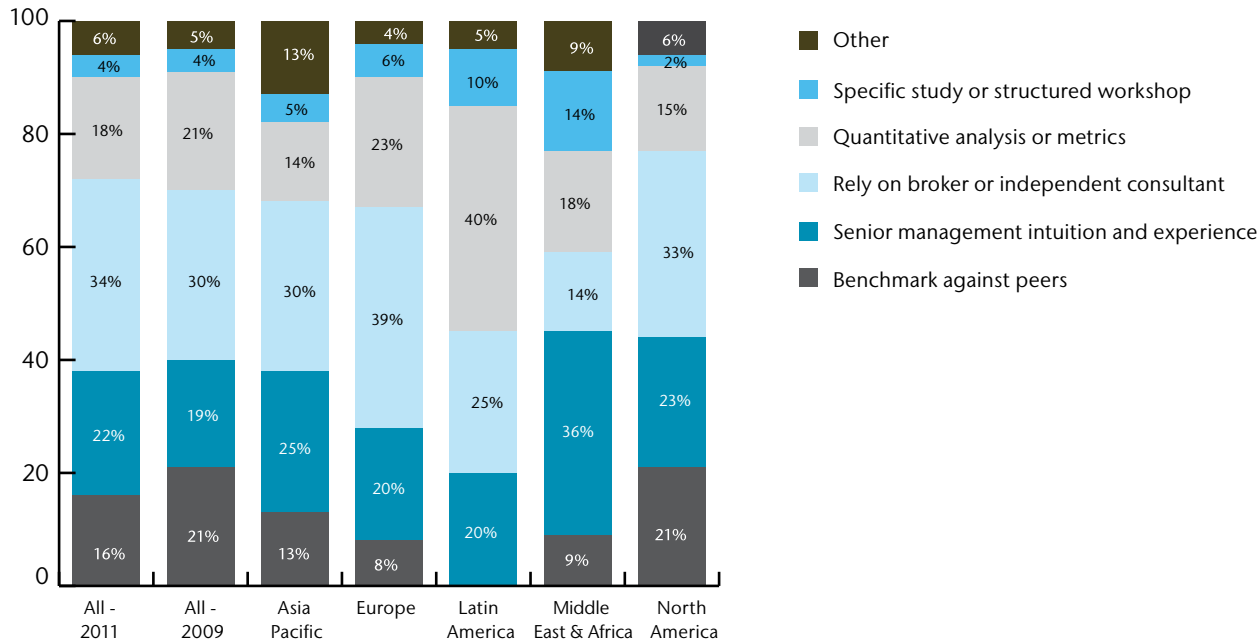
In relation to company size, approximately four in 10 respondents with revenue less than USD 1 billion relies primarily on their brokers or independent consultants to determine limit, while organizations over USD 1 billion are evenly split among the various methods. A significant number of large corporations, respondents with USD 14.9 billion or more in revenue, have begun augmenting their traditional approaches with a more analytical approach for determining limits.

On a regional basis, reliance on a broker or independent consultant is the primary source to determine limits except in Latin America, where it is more common to use quantitative analysis or metrics, and in the Middle East & Africa, where a significant number of companies depend on management's intuition and experience.

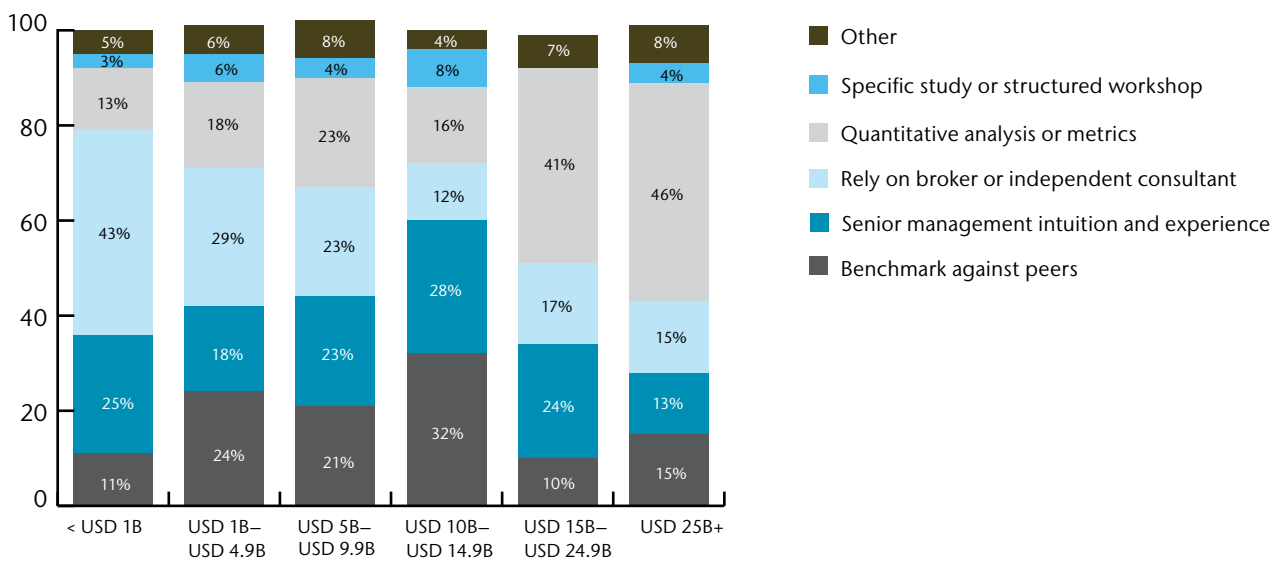
Since organizations without a formal risk management department may not have the risk management expertise or in-house resources to assess the options and evaluate the implications of various choices, they rely most heavily on brokers or independent consultants (51 percent). Companies with formal risk departments evenly use a combination of all of the top four methods.

34% use brokers or
independent consultants
as the primary source to
determine limits of insurance

Determination of limits by region



Determination of limits by revenue



Benefits of investing in risk management

Since the 2009 survey was conducted at the height of the world financial crisis, a large majority of the respondents (69 percent) cited lowering their TCOR as the top benefit for investing in risk management. While lowering TCOR is still considered a top priority by respondents in the 2011 survey (61 percent), it has been outranked 10 percent by another key component in risk management—more informed decision-making on risk taking/risk retention. The success of a company's risk management function is determined by how well these two essential elements are managed.

As expected, organizations without a formal risk management department place less value on all the listed benefits except for increased return on investment, as opposed to organizations have a formal risk management department. In the categories of “informed decision-making on risk taking/risk retention” and “lowering total cost of insurable risk,” there is a large gap in perceived value between organizations with a formal risk

management department and those without (16 percent for informed decision-making and 18 percent for lowering TCOR). These perception gaps might reflect a lack of understanding on the part of organizations without a formal risk management department of the true value that professional risk management expertise could bring.

69% cite lowering TCOR as a top benefit for investing in risk management

Primary benefits of investing in risk management

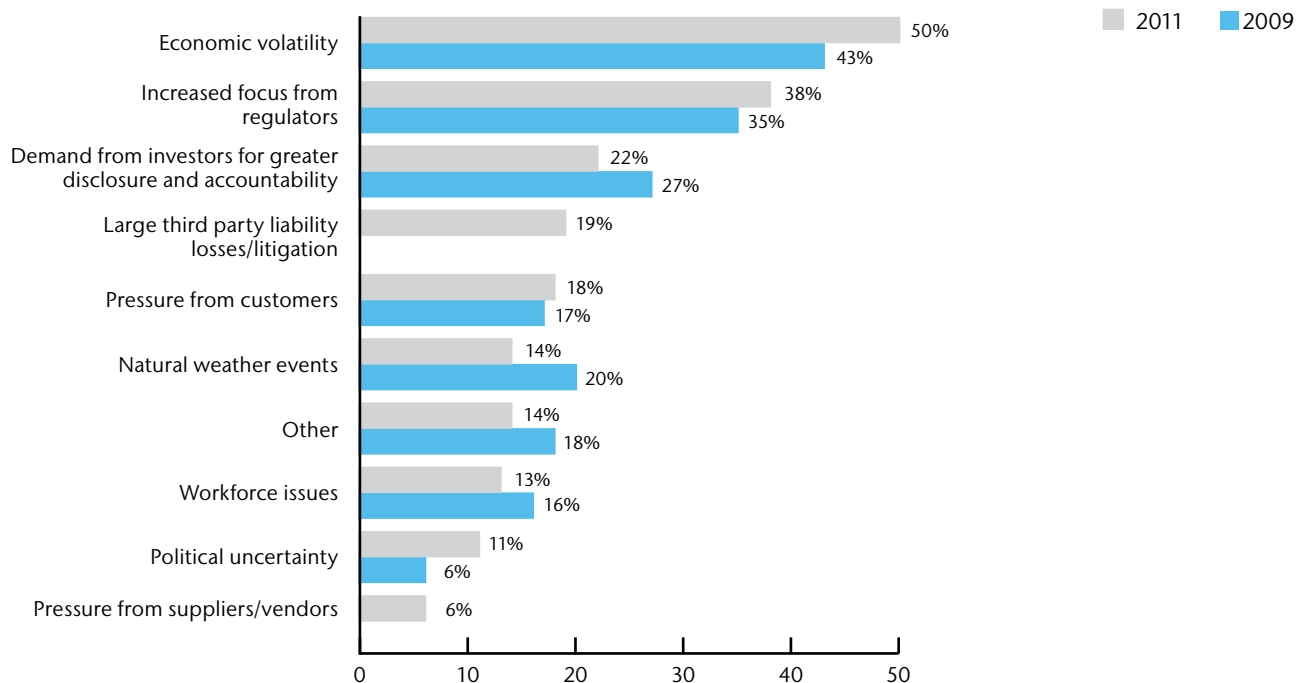
Category	2011: All	2009: All	2011: With Risk Mgmt. Dept.	2011: Without Risk Mgmt. Dept.	2011: Difference in Perceived Benefits
More informed decisions on risk taking/risk retention	71%	67%	75%	60%	16%
Lower total cost of insurable risk	61%	69%	66%	48%	18%
Improved internal controls	55%	50%	57%	52%	5%
Improved business strategy	46%	48%	47%	44%	2%
Improved standards of governance	41%	37%	44%	35%	9%
Improved business continuity planning	40%	40%	42%	37%	4%
Increased shareholder value	29%	39%	31%	25%	7%
Increased return on investment	23%	26%	23%	25%	-2%
Reduced compliance costs	18%	16%	19%	16%	3%
Other	2%	1%	3%	1%	2%

External drivers for risk management

Economic volatility and increased scrutiny from regulators remain the most important external drivers strengthening risk management. Following the financial crisis, organizations have a greater awareness of the need to protect assets and the balance sheet from unexpected loss. They also have to assure full compliance with both new and existing regulations and disclosure practices.

Economic volatility is cited as the most important external driver strengthening risk management

External drivers strengthening risk management (past two years)



Aon's Enterprise Risk Management Maturity Model

Aon's five-stage ERM maturity model, helps organizations, better understand their ERM capabilities relative to standards and best practices. When asked to identify their rankings among the model definitions, the majority of respondents indicate they are now past the basic stages of ERM program development. The results are similar to those of Aon's 2010 Global Enterprise Risk Management Survey. Even more promising, compared to the 2010 Global Enterprise Risk Management Survey, the number of respondents describing themselves as "Operational" or "Advanced" increased by 13 percent.

The number of respondents describing themselves as "Operational" or "Advanced" has increased by 13%

Current stage of development of organization's ERM strategy and framework

Enterprise Risk Management Maturity Model	2011	2010*
Initial/Lacking: Component and associated activities are very limited in scope and may be implemented on an ad-hoc basis to address specific risks	7%	11%
Basic: Limited capabilities to identify, assess, manage and monitor risks	23%	22%
Defined: Sufficient capabilities to identify, measure, manage, report and monitor major risks; policies and techniques are defined and utilized (perhaps independently) across the organization	34%	39%
Operational: Consistent ability to identify, measure, manage, report and monitor risks; consistent application of policies and techniques across the organization	24%	16%
Advanced: Well-developed ability to identify, measure, manage and monitor risks across the organization; process is dynamic and able to adapt to changing risk and varying business cycles; explicit consideration of risk and risk management in management decisions	12%	7%

*2010 data is from Aon's 2010 Global Enterprise Risk Management Survey. The information provided is an extract of Aon's proprietary ERM maturity model and should not be construed as full assessment of ERM maturity, but rather as an indicator. The ranking above represents a respondent's self assessment of maturity—based upon their review of the maturity levels.

Board Oversight and Involvement

As is consistent with the prior two surveys, risk remains firmly on board agendas. Three out of four companies say board or a board committee has established or partially established policies on risk oversight and management.

Policies on risk oversight and management

Over the past few years, boards of directors have been under increasing pressure from stakeholders and regulators to more effectively maintain oversight and understanding of risk management frameworks within their organizations. They are now taking a leading role. The survey results show that risk remains firmly on the board agendas. Three out of four companies say that the board or a board committee has established or partially established policies on risk oversight and management.

Board level commitment is critical to establishing, maintaining and funding a framework for risk oversight and management, and embedding this within the culture of the organizations. As risks and risk management are gaining increasing attention and scrutiny, board or board committee oversight will continue to increase.

If we compare a company's board involvement in risk oversight and management with how organizations rank themselves on Aon's Enterprise Risk Management Maturity Model, we can see that the more advanced a company progressed on Aon's ERM maturity model, the higher the involvement of its board in establishing policies for oversight and management.

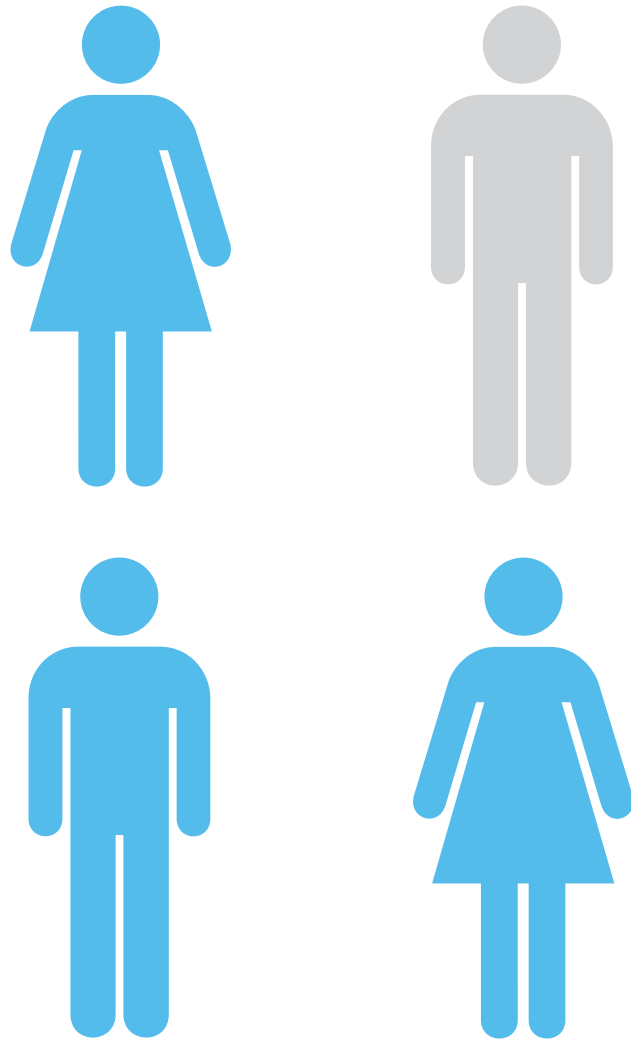
Of all the regions surveyed, the Asia Pacific and the Middle East & Africa regions have the highest percentages of respondents with established or partially established policies, at 94 percent and 95 percent respectively.

Across industries, the following sectors indicate the highest rate of board involvement—greater than or equal to 85 percent:

- Banking
- Chemicals
- Natural resources (oil, gas and mining)
- Telecommunications and broadcasting

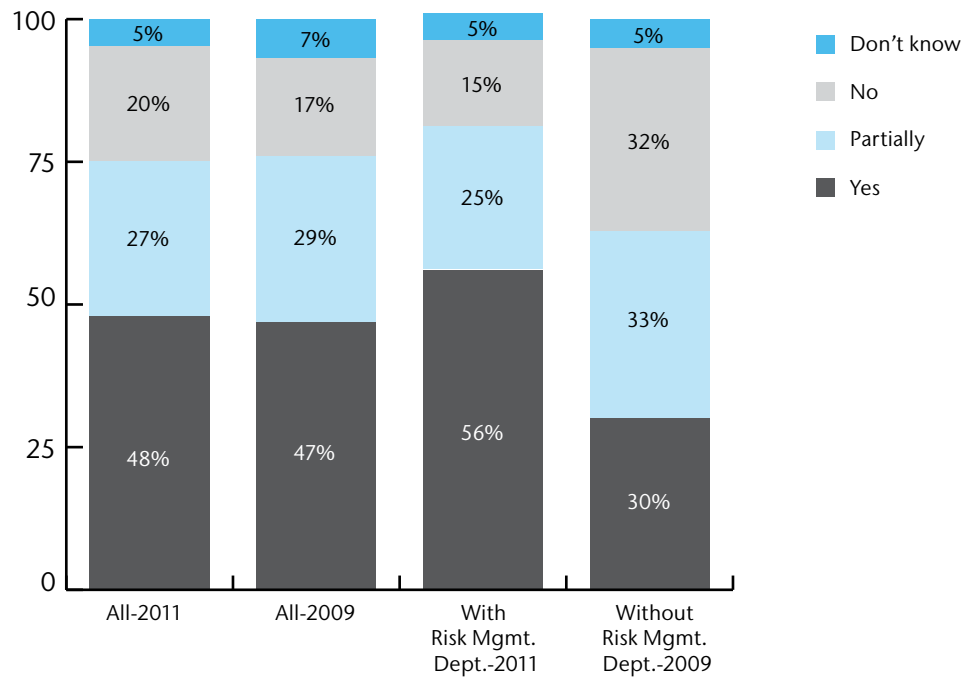
Organizations with a risk management department are more likely than those without one to have established or partially established board policies on risk oversight and management.

More than 80% of companies with USD 1 billion or more have board policies on risk oversight and management

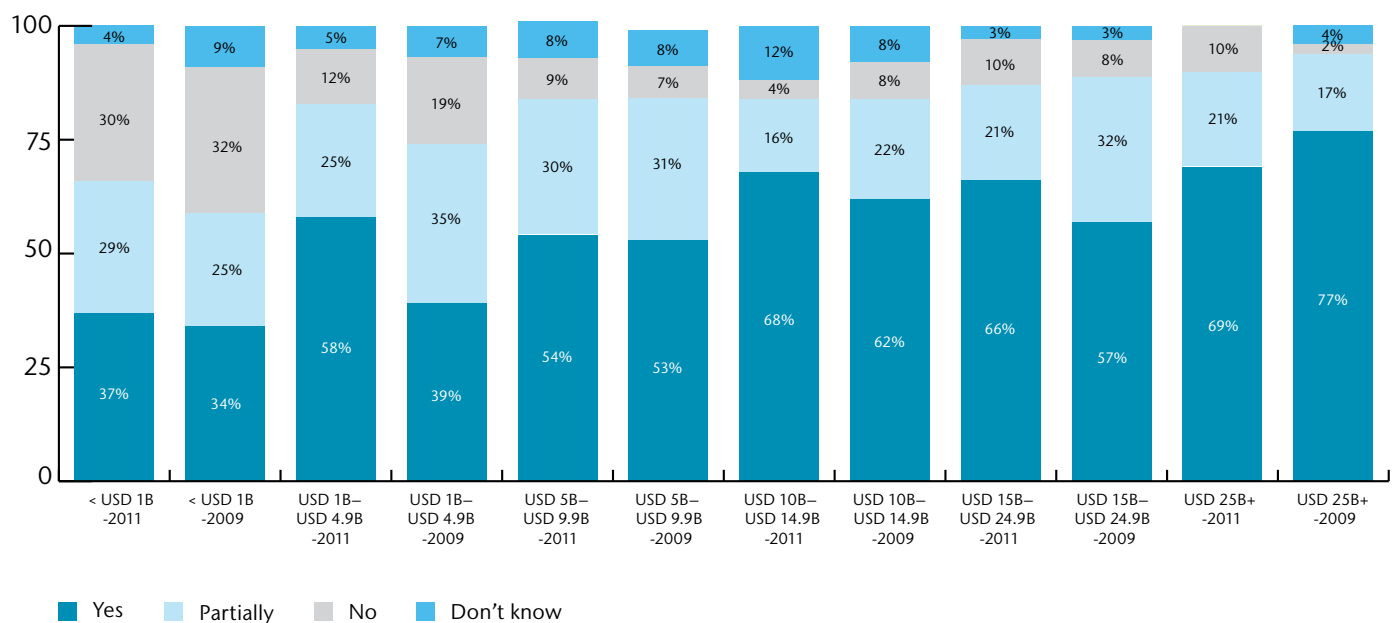


3 out of 4 companies say their boards or board committees have established or partially established policies on risk oversight and management

Board of directors or a board committee has established policies on risk oversight and management by risk management department



Board of directors or a board committee has established policies on risk oversight and management by revenue

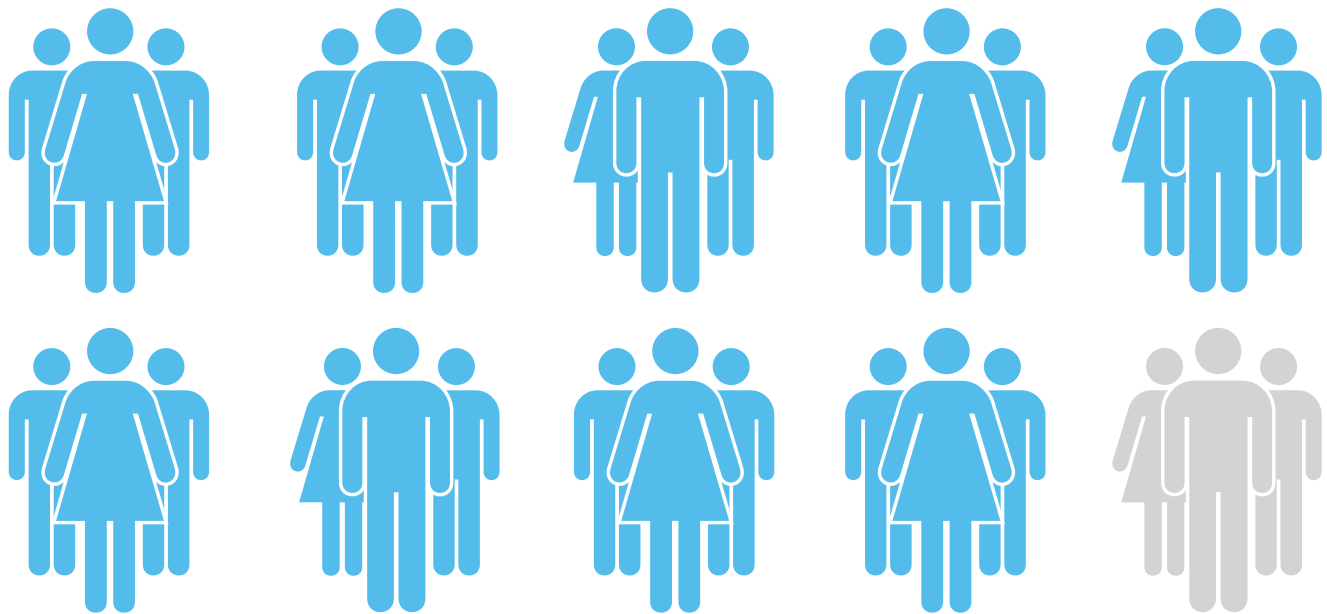


Approach to risk management at the board level

Nearly nine out of 10 companies have some board-level involvement in their current approach to risk management. Of the approaches cited, annual board reviews and approvals are ranked the most common, followed by the board considering specific business risks.

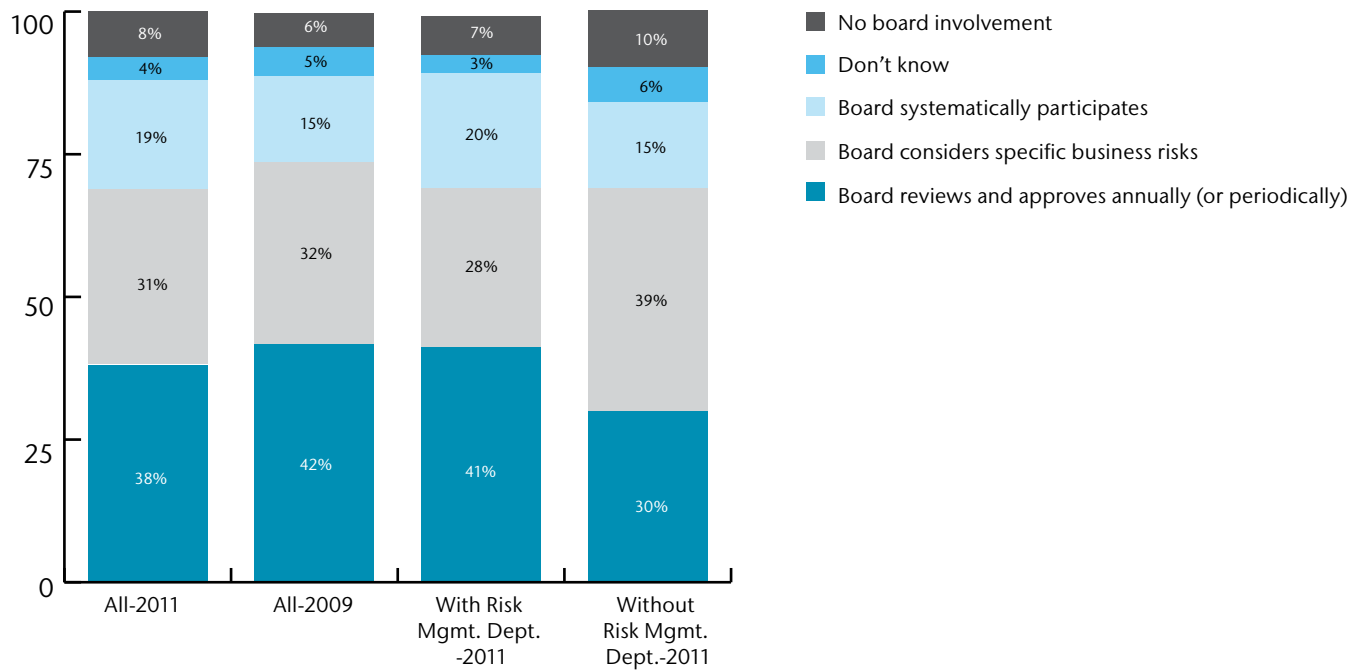
Regionally, the European boards continue to lead, with 92 percent of the surveyed indicate different levels of board involvement as in risk-related decisions.

For the third consecutive time, banking, which is one of the most regulated industries, has a 100 percent board-level involvement in the current approach to risk management at some level, followed by the pharmaceutical and biotechnology, rubber, plastics, stone and cement and utilities industries. Agribusiness had the least board involvement.

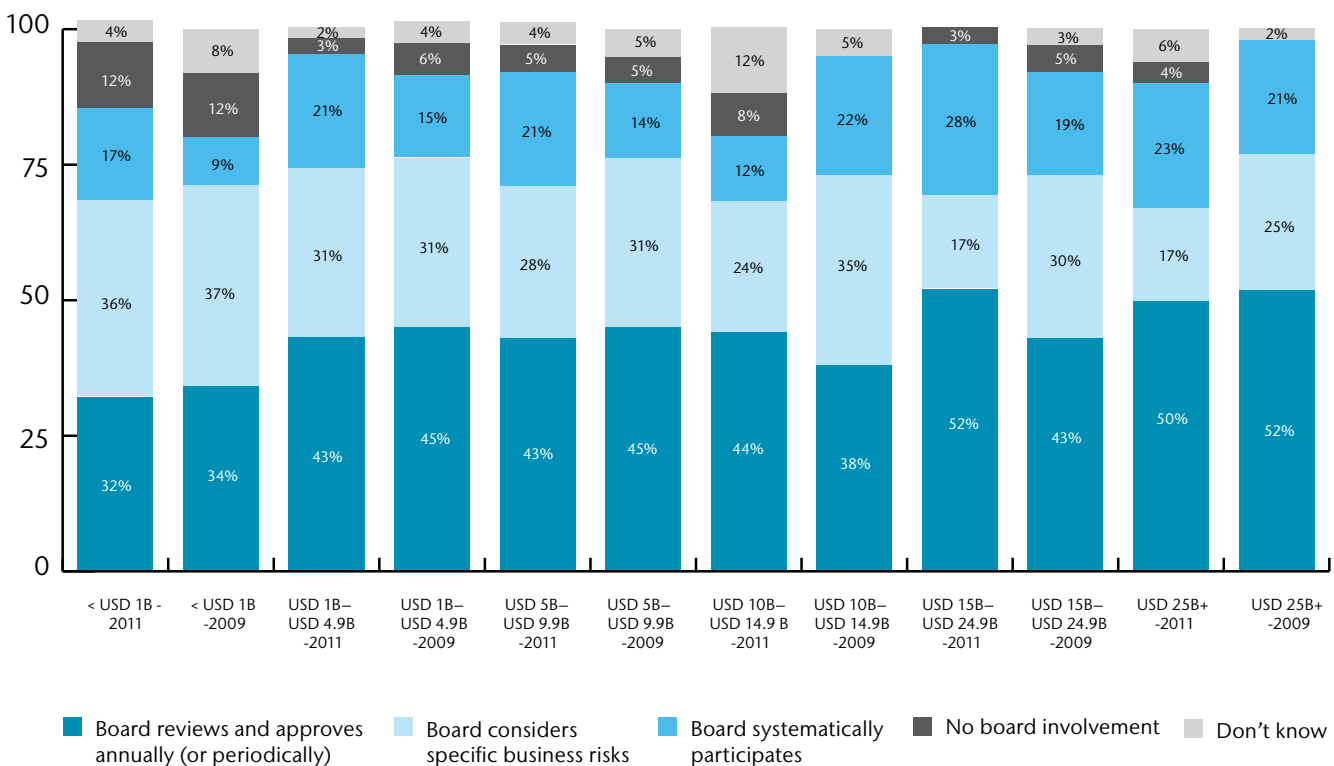


Nearly 9 out of 10 companies have some board-level involvement in their current approach to risk management

Current approach to risk management at board level by risk management department



Current approach to risk management at board level by revenue



Risk Management Department and Function

Seventy percent of the respondents indicate that they have a formal risk management department. Despite the economic slowdown, the levels of risk management department staffing appear, on an aggregate level, to have remained stable, with the majority of organizations maintaining staffing levels at fewer than five employees. The Chief Risk Officer's role is growing—31 percent of respondents say they have CROs vs. 25 percent in 2009.

Chief risk officer

The responsibilities of a chief risk officer or CRO, vary from company to company and industry to industry, but, chief risk officers are often given the responsibility for managing credit risk, market risk, regulatory risk and compliance risk, which may or may not include insurance/hazard risk.

In the 2011 survey, 31 percent of the respondents say their organizations have a CRO, vs. 25 percent in the prior survey. Among the organizations with CROs, 19 percent indicate that the CRO's role includes traditional insurance/hazard risk management, vs. 14 percent in 2009. The other 12 percent say their CROs do not handle traditional insurance/hazard risk management. In this case, based on our experience, the responsibilities are typically handled by a risk manager, who reports to another area or an executive such as the CFO.

Overall, the majority of surveyed organizations (60 percent) report they do not have a CRO, nor do they plan to create one, down from 62 percent in 2009. Six percent of respondents do not have a CRO but are considering creating such a position, down from 10 percent in 2009.

The existence or absence of a CRO appears to be correlated with a company's size. Seventy-two percent of organizations with revenues less than USD 1 billion indicate that they do not have a CRO as opposed to 62 percent for organizations with more than USD 1 billion in revenue. Among respondents with revenues of more than USD 25 billion, only 50 percent say they do not have a CRO.

From an industry standpoint, sectors that are highly regulated, including banking, followed closely by utilities and telecommunications and broadcasting, are more likely to have a separate CRO position in place.

The CRO role is growing—
31% of respondents have
CROs vs. 25% in 2009;
companies in more regulated
industries are more likely to
have a CRO

Role of the CRO

Role	2011	2009	2007
Yes, but this role does not include risk management	12%	11%	8%
Yes, this role includes risk management	19%	14%	17%
No, but we are considering creating this position	6%	10%	10%
No, and we do not plan to create such a position	60%	62%	60%
Don't Know	2%	3%	4%

Who is handling risk?

While managing risk is the responsibility of all employees, this activity is typically supported, championed and managed by an individual (risk manager), a risk management department or in some cases, a risk committee. In organizations with no formal risk management department, the responsibility resides most often in the office of the CFO (41 percent).

Compared to 2009, the number/percentage of firms with formal risk management departments has registered a decline in this survey for the first time. This change could be attributed to this year's respondent profile. In 2011, the survey includes a higher percentage of companies with revenues under USD 1 billion. Smaller companies are less likely to have a formal risk management department.

The larger a company's revenue and employee count, the more likely it has a formal risk management department. In this survey, 91 percent of companies greater than USD 1 billion in revenue report having a formal risk management department, as opposed to 51 percent of companies under USD 1 billion. Typically, as organizations grow, the complexity of risks and mitigation needs increase, requiring special focus and attention. Therefore, a formal risk department is needed to handle the challenges.

In addition, corporate structure is also a factor in whether or not an organization has a formal risk management department. Public companies are far more likely to have a formalized department (83 percent) than a private company (56 percent). Private companies tend to be smaller and less risk averse because of their compact corporate structure and less stringent financial report requirements.

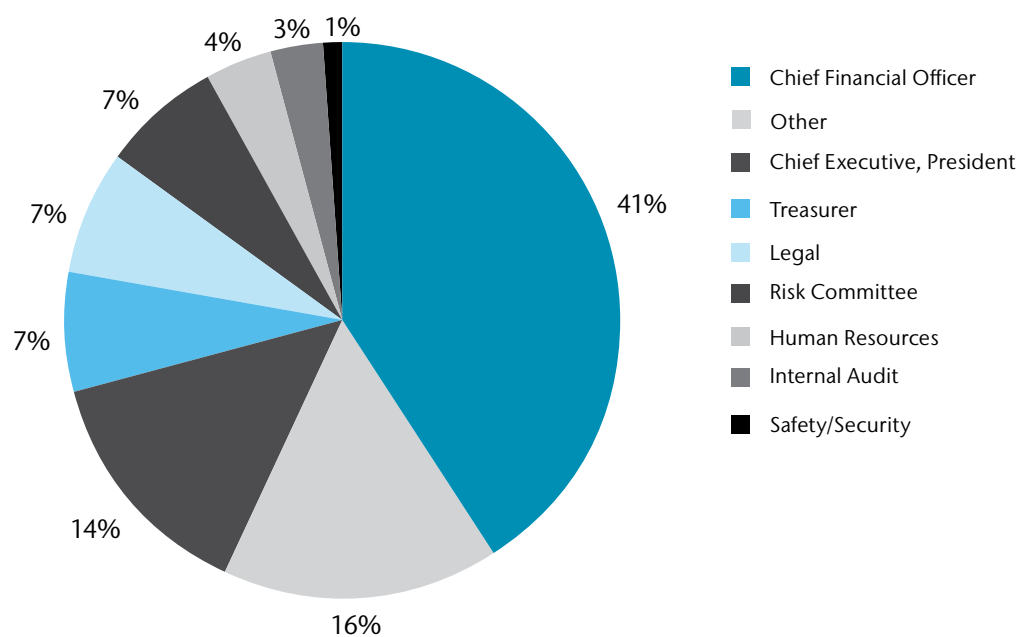
By industry, utilities and telecommunications and broadcasting are most likely to have a formal risk management department, while machinery and equipment manufacturers and agribusiness operators are the least likely.

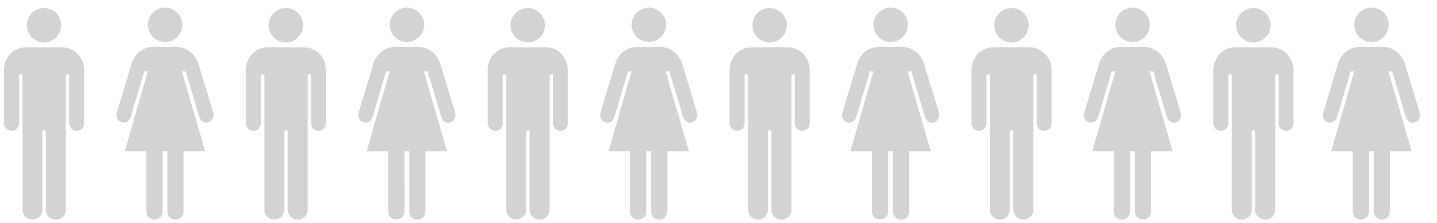
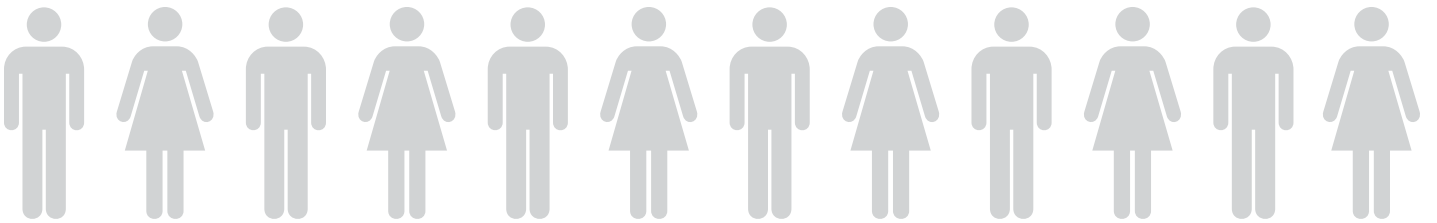
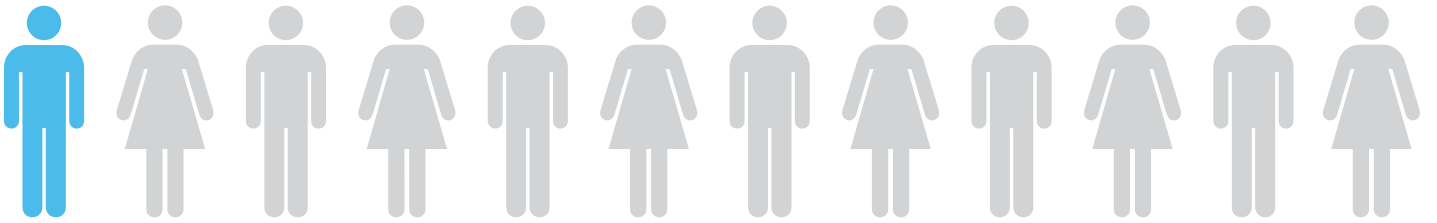
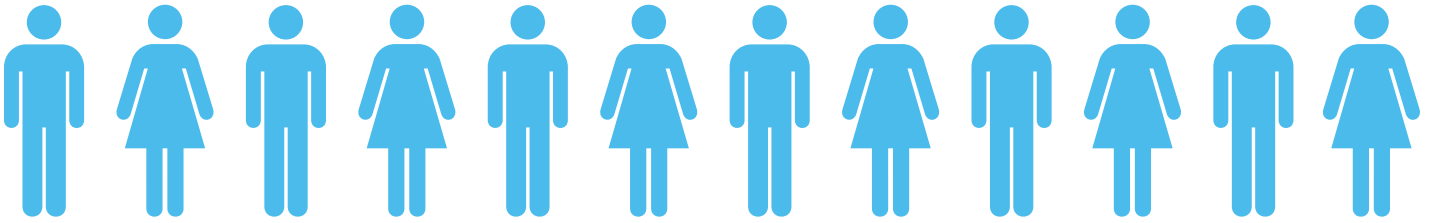
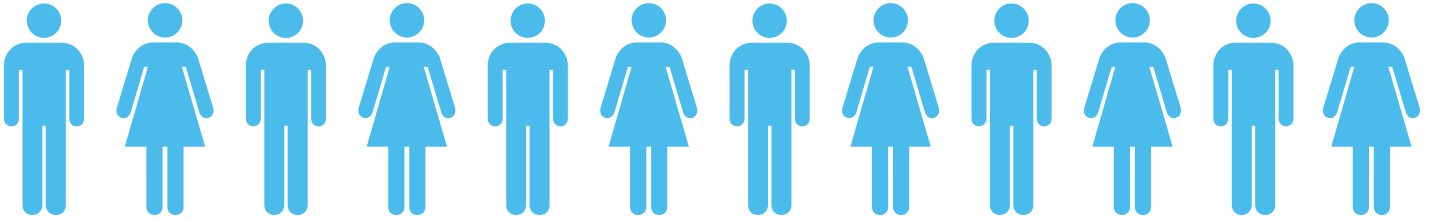
The larger a company's revenue and employee count, the more likely for it to have a formal RM department

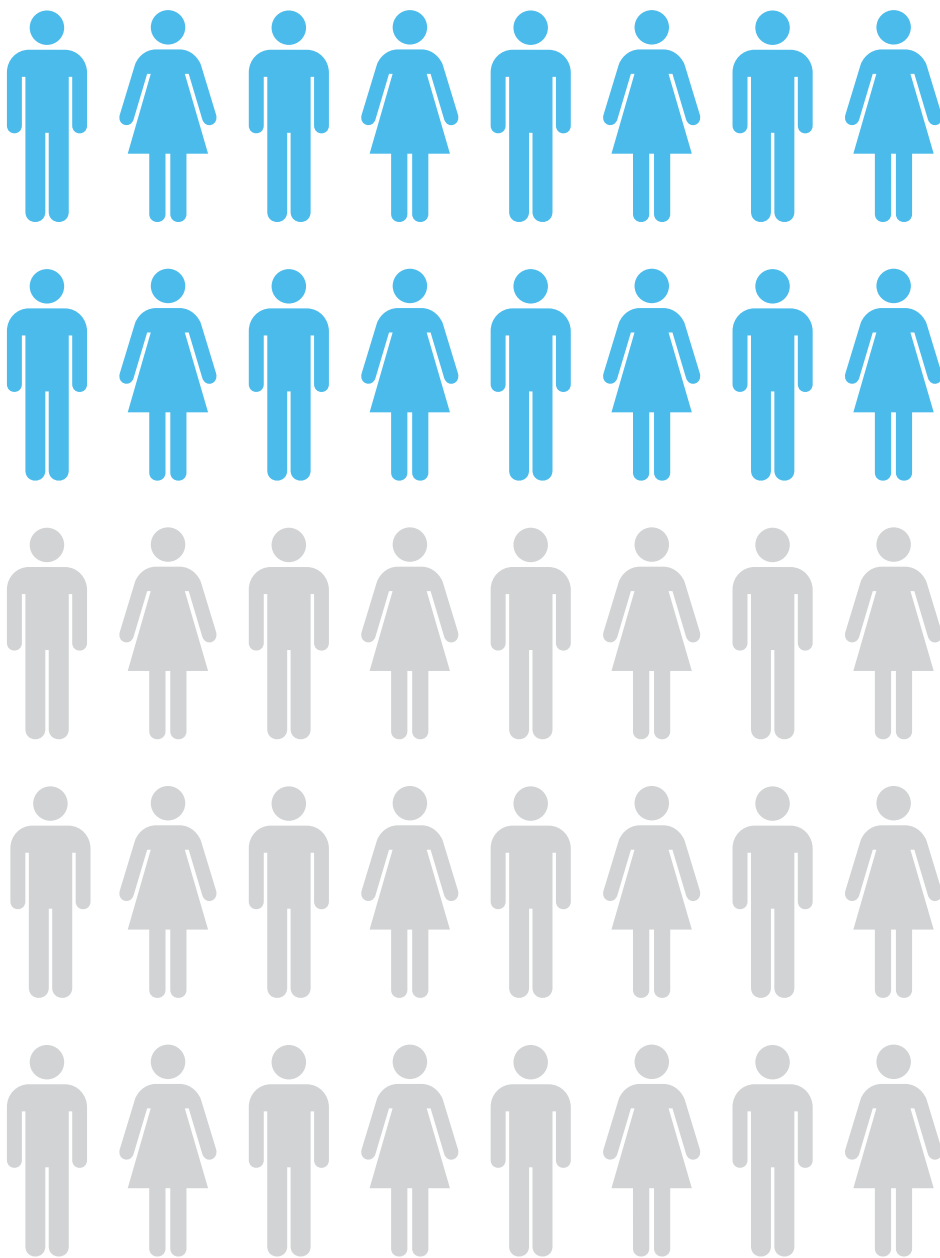
Formal risk management department

Formal Risk Management Department	All: 2011	All: 2009	< USD 1B	USD 1B–USD 4.9B	USD 5B–USD 9.9B	USD 10B–USD 14.9B	USD 15B–USD 24.9B	USD 25 B+
Yes	70%	78%	51%	86%	95%	96%	100%	98%
No	30%	22%	49%	14%	5%	4%	0%	2%

Responsibility for risk in absence of a management department







41% of respondents with no formal RM departments say their CFOs handle risk management

Where does risk management report?

While the organizational location and reporting relationship for the risk management function varies by organization, a majority of respondents (54 percent) with a risk management department say this function reports into the CFO/finance/treasury, which remains consistent with results in prior surveys. For most organizations, complex risk financing programs, significant risk retentions and captive financial management make insurance risk management a natural fit within the finance/treasury function.

On the other hand, organizations facing significant risk retentions, complex contractual claims and/or litigation issues often choose to put the risk function within the legal department. An example of this alignment is the healthcare industry, where nearly 30 percent indicate that risk management reports to general counsel.

In organizations under USD 250 million in revenue or with fewer than 500 employees, the function reports directly to the chief executive or the president. This reporting arrangement is also common in organizations in the Middle East & Africa.

54% of respondents
say their RM Departments
report into the
CFO/finance/treasury

Organizational reporting for risk management

Department	2011	2009
CFO/Finance/Treasury	54%	62%
Company Secretary	1%	3%
General Counsel	10%	8%
Chief Risk Officer (CRO)	8%	6%
Chief Executive, President	10%	6%
Human Resources	3%	2%
Safety/Security	0%	1%
Internal Audit	1%	1%
Chief Administrative Officer	2%	2%
Controller	1%	1%
Other	8%	9%

The size of risk management department

Since the 2009 survey, risk management department staffing levels appear on an aggregate level, to have remained fairly consistent with the majority of organizations (67 percent) maintaining staffing levels at fewer than five employees.

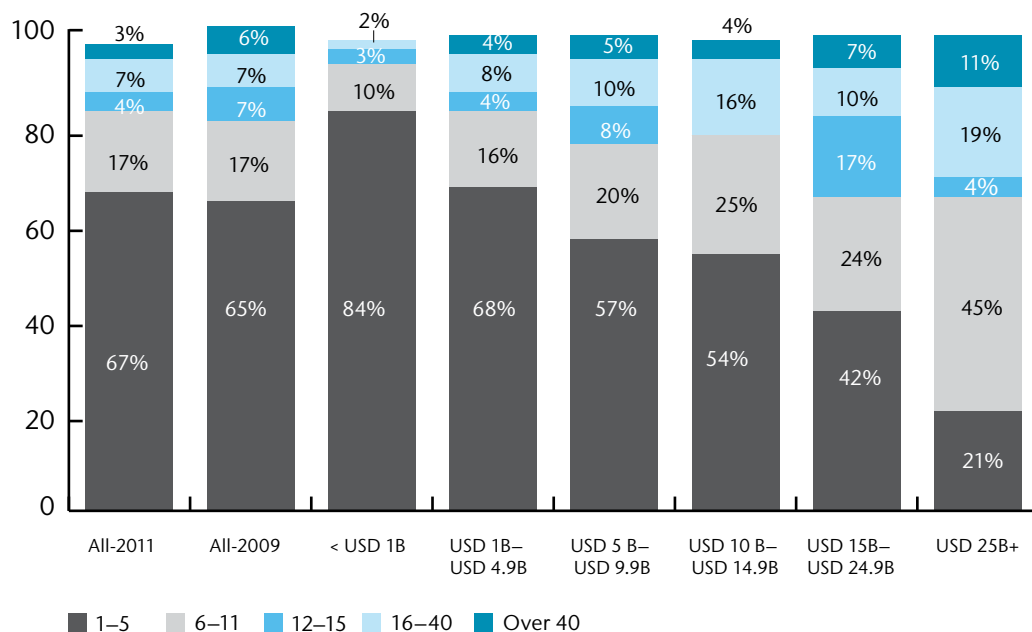
The staffing level within the department also seems to be somewhat correlated to revenue. Nearly a third of survey respondents with a risk management department have more than five employees. The percentage gradually increases with size. For companies greater than USD 25 billion, 79 percent have six or more employees in the risk department.

By industry, the banking sector has the largest risk management departments with more than 67 percent of banks having five or more employees and 35 percent having 15 and up. Larger department sizes in this sector may be driven by regulatory and compliance requirements. Technology firms report the lowest number of risk management employees—only three percent of respondents have staff greater than five, and 66 percent with only one to two employees.

The staffing level is also influenced by a company's approach to risk, as well as the scope of responsibilities of each risk management department. Some organizations focus primarily on risk financing analysis and insurance program management while others include extensive claims, risk control or environmental, health & safety activities. Clearly these differences affect the size of the risk management department. In addition, the degree to which a company outsources its activities will also have an impact on its risk management department staffing level.

RM staffing level has remained fairly consistent since 2009

Department staffing by revenue



Claim and safety/risk control roles

In-house staffing of claims and safety/risk control functions can dramatically affect the size of the risk management department. As is in prior surveys, larger risk management departments typically include more in-house claims and safety/loss control staff.

The majority of respondents with risk management departments (60 percent) say they have one to two claims staff. Only 19 percent in this category do not have any claims personnel. Regionally, a notable variant occurs in the Asia Pacific and Middle East & Africa—36 percent and 41 percent respectively, report that they do not have any claims staff.

About half of the respondents with a risk management department indicate that they have one to two safety/risk control staff. Thirty-two percent do not employ any safety/risk control staff while 10 percent maintain a staff of three to five people. Looking at the revenue bands, there is a higher percentage of respondents with a staff of 10 or more in the USD 15 billion-plus bands.

More than 1/3 of respondents in Asia Pacific and Middle East & Africa do not have claim and safety/risk control staff

Claim staff within risk management dept by region

Region	1–2	3–5	6–9	10+	None
All	60%	16%	3%	3%	19%
Asia Pacific	45%	14%	5%	0%	36%
Europe	59%	12%	3%	1%	26%
Latin America	69%	23%	0%	0%	8%
Middle East & Africa	24%	29%	6%	0%	41%
North America	63%	17%	2%	4%	13%

Claim staff within risk management dept by revenue

Revenue	1–2	3–5	6–9	10+	None
< USD 1B	68%	11%	2%	0%	20%
USD 1B–USD 4.9B	60%	18%	1%	3%	18%
USD 5B–USD 9.9B	43%	24%	3%	7%	24%
USD 10B–USD 14.9B	54%	8%	8%	4%	25%
USD 15B–USD 24.9B	55%	24%	0%	7%	14%
USD 25B+	49%	19%	9%	11%	13%

Safety/risk control staff within risk management dept by region

Region	1–2	3–5	6–9	10+	None
All	49%	10%	4%	5%	32%
Asia Pacific	34%	7%	7%	18%	34%
Europe	56%	10%	2%	4%	28%
Latin America	54%	38%	8%	0%	0%
Middle East & Africa	39%	28%	0%	0%	33%
North America	49%	9%	4%	4%	34%

Safety/risk control staff within risk management dept by revenue

Revenue	1–2	3–5	6–9	10+	None
< USD 1B	60%	10%	1%	2%	25%
USD 1B–USD 4.9B	45%	8%	5%	5%	37%
USD 5B–USD 9.9B	41%	14%	5%	7%	33%
USD 10B–USD 14.9B	38%	13%	4%	4%	42%
USD 15B–USD 24.9B	31%	7%	10%	10%	41%
USD 25B+	45%	13%	2%	9%	32%

Third-party service providers

The worldwide financial crisis seems to have a significant impact on the use of third-party service providers. Compared to the 2009 survey, reliance on independent consultants for individual project work has significantly decreased from 71 percent to 36 percent and outsourcing support/staff from 40 percent to 22 percent. Ongoing consultation appears to be the least affected by the tough economic conditions, with a decrease of only eight percent from the 2009 survey to 63 percent in 2011.

Overall, companies utilize third-party consultants mostly for what are deemed “core services”—actuarial/risk bearing capacity/risk modeling, claims advocacy/specialized claim consulting and property loss control, all of which are the least likely to be effected by an ailing or recovering economy. Claims advocacy/specialized claim consulting is one area that has experienced a substantial increase—44 percent of surveyed organizations indicate they use third-party consultants to provide the service, up from 13 percent in 2009. This could be driven by an increase in claims activity brought on by the recession, during which companies looked for third-party expertise to help them maximize their recoveries from insurance carriers. Another factor could be the increase in natural catastrophes and utilization of forensic accountants in the claim recovery process.

Highlights of regional differences include:

- Respondents in the Asia Pacific region say they have sought third-party services most often in the areas of enterprise risk management, risk assessment and independent insurance program analysis
- For European companies, most third-party services are claims advocacy and independent insurance program analysis
- In Latin America, the most often utilized third-party services are captive management/consulting, actuarial/risk analysis consultation, property loss control, claims advocacy, RIMS and enterprise risk management
- In the Middle East & Africa, the most often utilized third-party services are independent insurance program analysis and claims advocacy
- In North America, companies most often hire third parties for actuarial/risk analysis consultation, property loss control and claims advocacy

Survey results show a decrease in the use of third-party providers

Use of third-party consultants by revenue

Category	2011: All	2009: All	< USD 1B	USD 1B – USD 4.9B	USD 5B – USD 9.9B	USD 10B – USD 14.9B	USD 15B – USD 24.9B	USD 25B+
Project work	36%	71%	25%	42%	68%	60%	52%	50%
Ongoing consultation	63%	71%	55%	72%	74%	60%	72%	75%
Outsource support/ staff	22%	40%	14%	27%	39%	40%	41%	38%

Types of third-party services utilized by respondents

Activity	2011: All	2009: All
Actuarial, risk bearing capacity analysis, risk modeling	48%	51%
Claims advocacy/Specialized claim consulting (i.e. not claims adjustment services provided by a carrier or TPA)	44%	13%
Property loss control	39%	51%
Independent insurance program analysis	37%	35%
Workers compensation/Health and Safety advice	33%	36%
Captive management/consulting	30%	46%
Contract review	28%	47%
Risk management information systems	24%	30%
Risk financing and alternative risk transfer	22%	27%
Enterprise risk management, risk assessment and ranking	19%	21%
Mergers and acquisitions	17%	20%
Business continuity planning	16%	23%
Environmental	14%	27%
Premium allocation modeling, premium tax strategies	12%	15%
Self-insured compliance	11%	12%
Credit/trade credit	10%	34%
Talent recruitment strategies	4%	4%
Workforce planning, including leadership development and succession	3%	7%

Insurance Markets

For the third straight time, financial stability is cited as the top criterion in an organization's choice of insurers, illustrating the fact that concerns for competitive pricing are still tempered by an interest in dealing with carriers who have the financial capacity to pay claims. When asked what changes organizations would most like to see in the insurance market, the majority of respondents desire broader coverage/better terms and conditions.

Priorities in choice of insurer

The message has been consistent and clear—for the third straight time, financial stability has been cited as the top criterion in an organization's choice of insurers, illustrating the fact that concerns for competitive pricing are still tempered by an interest in dealing with carriers who have the financial capacity to pay claims. With the elevated levels of downgrade activities in 2008 and 2009, a carrier's long-term financial well-being will continue to weigh heavily in the choices of carriers by the insured.

Ranked second overall is value for money, followed closely by claims services and industry experience. Value for money will continue to be an important factor during the current tough economic environment, where organizations will seek to save money wherever possible.

Prompt settlement of large claims sees the greatest increase in priority among all the surveyed factors, from number nine in 2009 to number five. This appears to be primarily influenced by regions outside of North America, which experienced higher than normal natural catastrophes losses in 2010. With the fast pace of globalization, companies are in dire need of a carrier which can support their international operations. In the subcategory of companies with offices in more than six countries, an insurer's ability to deliver a global program ranks second in their choice of an insurer, versus number nine for overall respondents, even before pricing.

The 2011 survey also shows that speed and quality of documentation may no longer be seen as a differentiating factor among insurers, coming at the bottom of the list for the second straight time. The ranking could represent a combination of factors—the industry's standards have improved overall, making it less of an issue, or other factors on the list became more relevant given the current business environment.

Prompt settlement of large claims sees the greatest increase in priority

Priorities in choice of insurer

Factors	2011 Rank	2009 Rank	2007 Rank
Financial stability/rating	1	1	1
Value for money/price	2	2	2
Claims service	3	3	4
Industry experience	4	5	6
Prompt settlement of large claims	5	9	Not Ranked
Long-term relationship	6	6	Not Ranked
Capacity	7	4	Not Ranked
Flexibility/innovation/creativity	8	7	3*
Ability to deliver a global program	9	8	8**
Speed and quality of documentation	10	10	5

*This was the ranking for Flexibility only in the 2007 survey

**This was the ranking for Global Representation

Desired changes in the insurance market

When asked what changes organizations would most like to see in the insurance market, the majority of respondents desire:

- Broader coverage/better terms and conditions (13 percent increase)
- Recognition of investments in internal risk management efforts through lower premiums
- More flexible and customized services (11 percent decrease)

Even though these answers remain consistent with those in the previous survey, the number of respondents who list coverage/better terms and conditions as a desired change has increased by 13 percent while the percentage of respondents seeking more flexibility has decreased by 11 percent. It clearly illustrates that in the current marketplace, companies are more focused on improving the coverage they currently have in place and are willing to sacrifice some flexibility and customized services to obtain it.

On a regional basis, organizations in Europe appear to be the most satisfied with the insurance market while Latin American respondents feel their region has the most opportunity for improvement—more than 75 percent indicate that insurers need to improve coverage terms and conditions and be more flexible in program design and delivery.

In the current marketplace, companies are more focused on improving the coverage they currently have in place and are willing to sacrifice some flexibility and customized services to obtain it

Desired changes in the insurance market

Desire market changes	2011	2009
Broader coverage/better terms and conditions	63%	50%
Recognition of investments in internal risk management efforts through lower premiums	58%	61%
More flexibility	52%	63%
Better quality of service	42%	49%
More product innovation	32%	N/A
More sophisticated information technology (IT) systems	28%	26%
Increased capacity	18%	31%
Other	7%	10%

Desired changes in the insurance market by region

Desire market changes	Asia Pacific	Europe	Latin America	Middle East & Africa	North America
Broader coverage/better terms and conditions	64%	55%	81%	53%	66%
Recognition of investments in internal risk management efforts through lower premiums	70%	61%	69%	63%	55%
Increased capacity	14%	20%	31%	21%	18%
More flexibility	52%	49%	75%	53%	52%
More sophisticated information technology (IT) systems	23%	23%	31%	32%	31%
Better quality of service	54%	40%	56%	53%	42%
More product innovation	34%	24%	31%	42%	36%
Other	4%	4%	6%	5%	9%

Risk Financing

Flat to single-digit rate change appears to be the norm among respondents in the 2011 survey. Most organizations are comfortable with their current limits purchased and maintain their current deductible/retention levels. Coverage terms and conditions remain stable and in some cases, have broadened.

Changes in premium rates

Commercial insurance is considered to have been in a soft pricing market for many years. The expectation for a return to a harder pricing environment has been increasing every year but has yet to arrive, despite some short spikes in rates in various coverage lines over this time.

The continued soft market is evident in the 2011 survey, where the majority of respondents estimate their organizations rate change to be flat to single digit decreases. For organizations that have experienced any changes in premium rates, they are generally within the 0.1 percent to 4.9 percent range. The two lines of coverage for which respondents exhibit the greatest reductions in rate levels are directors and officers liability or D&O (43 percent) and property (47 percent).

D&O and property exhibit the greatest reductions in rate levels

Changes in premium rates

Coverage	Decrease	Over -10%	-5% to -10%	-0.1% to -4.9%	No Change	0.1% to 4.9%	5% to 10%	Over 10%	Increase
Workers Compensation/ Employers Liability	39%	5%	14%	20%	38%	16%	6%	2%	23%
General Liability/Public Liability	40%	6%	14%	20%	40%	12%	5%	2%	19%
Products Liability (if separate)	29%	3%	10%	16%	55%	9%	4%	2%	16%
Auto/Motor Vehicle Liability (not Physical Damage)	33%	5%	10%	18%	43%	17%	4%	3%	24%
Directors & Officers Liability	43%	9%	15%	19%	39%	11%	4%	3%	18%
Professional Indemnity/Errors and Omissions Liability	33%	4%	11%	18%	48%	12%	5%	3%	19%
Property	47%	8%	18%	20%	28%	16%	5%	3%	25%

Limits

Umbrella/Excess Liability

When it comes to selecting the appropriate level of excess liability limits, there is no consistent process or definitive guidelines used by respondents. An optimal program design, characterized by broad coverage and efficient use of insurance funds, is driven by a number of factors: risk severity, risk mitigation measures already in place or under consideration, the regulatory environment in which companies operate, historical trend of loss activities, the insurance marketplace and appetite for risks.

Similar to prior surveys, the most common limit purchased for 2011 is USD 100 million. The average limit purchased for all respondents totals USD 139 million. For companies with revenues of more than USD 1 billion, the average limit is USD 213 million, an increase from USD 184 million in 2009. This may be driven by opportunistic buying resulting from the continued soft market. In 2011, the highest limit reported by all respondents totals USD 1.25 billion in Latin America and the lowest is USD 1 million, which has been reported in multiple regions. In the 2009 survey, the highest limit was USD 1.7 billion in Europe, and the lowest remained the same.

The level of limits purchased is in direct proportion to a company's revenue size—a larger company with a higher profile can represent a bigger target for legal actions.

Interestingly, pharmaceutical and biotechnology companies have purchased the lowest average limit at USD 43 million, a dramatic change from 2009 when they bought the highest. Prior survey respondents may have reported their separate product liability limits while this year's respondents may have reported only umbrella/excess liability limits excluding products.

Among all the surveyed industry groups, the chemical industry has purchased the highest average limit at USD 325 million. This is consistent with its high historical loss or claim records.

The average and most common limit purchased by respondents in 2011 totals USD 139 million and USD 100 million respectively

Umbrella/excess liability limits by region (in dollars)

Category	2011: All	2009: All	Asia Pacific	Europe	Latin America	Middle East & Africa	North America
Minimum	1,000,000	1,000,000	2,000,000	1,000,000	3,000,000	1,000,000	1,000,000
Average	138,989,396	160,776,126	188,865,385	166,699,370	210,777,778	215,528,571	125,332,752
Most Common	100,000,000	100,000,000	100,000,000	50,000,000	N/A	N/A	100,000,000
Maximum	1,250,000,000	1,700,000,000	800,000,000	1,000,000,000	1,250,000,000	714,285,714	1,000,000,000

Umbrella/excess liability limits by revenue (in dollars)

Category	< USD 1B	USD 1B– USD 4.9B	USD 5B– USD 9.9B	USD 10B– USD 14.9B	USD 15B– USD 24.9B	USD 25B+
Minimum	1,000,000	1,000,000	25,000,000	50,000,000	5,000,000	50,000,000
Average	52,667,708	145,534,921	265,164,179	277,460,317	261,250,000	420,441,176
Most Common	10,000,000	100,000,000	200,000,000	250,000,000	300,000,000	500,000,000
Maximum	725,000,000	1,000,000,000	1,250,000,000	714,285,714	535,000,000	1,000,000,000

Directors and Officers Liability

The average D&O limit purchased by all respondents is USD 71 million, whereas companies with more than USD 1 billion in revenue have purchased an average of USD 114 million in D&O liability, up from USD 94 million reported in the 2009 survey.

The highest limit purchased by any organization is USD 700 million in Europe compared to USD 500 million in 2009, while the lowest limit purchased amounts to USD 500,000 compared to USD 1 million in the prior survey.

Since our first survey in 2007, two trends in D&O limits have remained consistent—the D&O limit purchased is in direct proportion with an organization's size and that public companies purchase much higher limits than private companies—its ratio for the average limit purchased is more than three to one in the current survey. Historically, private companies purchase lower limits because many feel they have no public shareholders, thus their D&O liability exposure is limited. In addition, private companies often times believe that they have the financial abilities to indemnify directors or officers for any claims that may arise. Nonetheless, D&O coverage is becoming more important to private companies which are facing litigation risks from shareholders, employees, creditors and the government.

The D&O limit purchased has been in direct proportion with an organization's size; the ratio in average limits purchased between public and private companies is more than 3 to 1

Directors & officers liability limits by region (in dollars)

Category	2011: All	2009: All	Asia Pacific	Europe	Latin America	Middle East & Africa	North America
Minimum	500,000	1,000,000	1,000,000	500,000	3,000,000	1,000,000	1,000,000
Average	71,095,698	78,868,028	67,000,000	83,951,569	31,142,857	161,051,948	65,573,369
Most Common	10,000,000	10,000,000	150,000,000	10,000,000	5,000,000	50,000,000	10,000,000
Maximum	700,000,000	500,000,000	230,000,000	700,000,000	100,000,000	500,000,000	600,000,000

Directors & officers liability limits by revenue (in dollars)

Category	< USD 1B	USD 1B– USD 4.9B	USD 5B– USD 9.9B	USD 10B– USD 14.9B	USD 15B– USD 24.9B	USD 25B+
Minimum	500,000	2,000,000	5,000,000	15,000,000	1,000,000	4,000,000
Average	21,043,542	75,913,587	111,296,875	190,198,413	171,500,000	251,787,879
Most Common	10,000,000	100,000,000	150,000,000	250,000,000	200,000,000	250,000,000
Maximum	400,000,000	500,000,000	500,000,000	600,000,000	400,000,000	700,000,000

Satisfaction with limit levels

Umbrella/Excess Liability

Eighty-one percent of survey respondents have indicated they are comfortable with the level of umbrella/excess liability limits purchased, compared to 77 percent in 2007 and 83 percent 2009. In 2011 there is a regional reversal in satisfaction levels—Asia Pacific has moved from the highest satisfaction level (94 percent) in the previous survey to the least satisfied (76 percent) and Latin America moves up, from the least satisfied (61 percent) to the most satisfied (90 percent).

In terms of organizational size and revenue, in 2011, companies with USD 25 billion or greater in revenue are the least satisfied with limits purchased (25 percent), a slight decrease from 34 percent in 2009. About 40 percent of organizations with 250–499 employees, and 25 percent of those with 2,500–4,999 employees indicate they are not comfortable with the level of limits purchased.

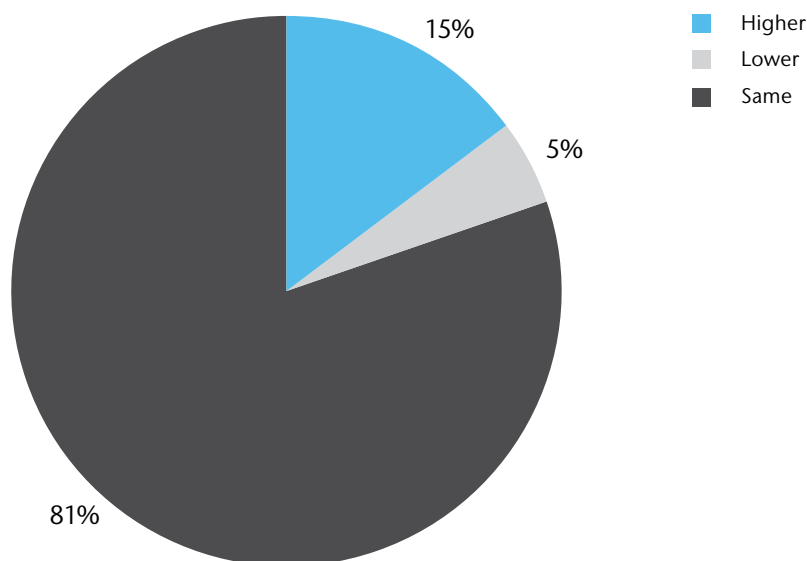
Chief counsel/head of legal respondents are the least comfortable with current limit levels purchased (63 percent). In all instances, these respondents feel limits should be higher (37 percent) because their responsibilities include managing third-party claims.

Given that legal fees continue to grow in excess of general inflation, record verdict amounts were awarded in 2010 and the overall tort costs are forecasted to grow, their dissatisfaction with the current limit levels are understandable.

It is also interesting to note no industry group is 100 percent satisfied with limits purchased whereas in 2009, several groups reported 100 percent satisfaction. The insurance, investment and finance industries are the most satisfied (93 percent).

81% of respondents are comfortable with the level of umbrella/excess liability limits purchased

Comfort level with limits for umbrella/excess liability



Directors & Officers Liability

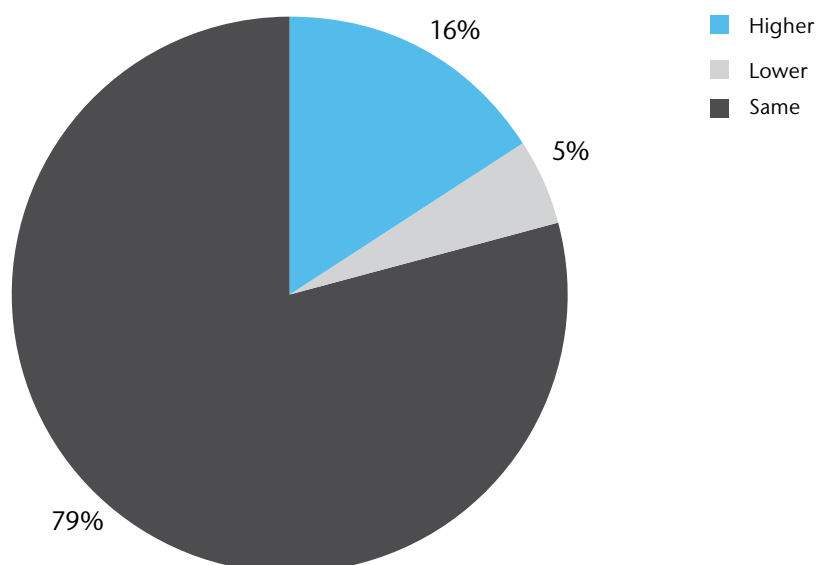
Similar to 2009, nearly 80 percent of respondents have reported that they are comfortable with the level of D&O limits purchased. The Asia Pacific region has the highest satisfaction level (85 percent), while Latin America is the least satisfied (38 percent).

The banking industry is the least comfortable with their limits purchased (58 percent). While banks have recovered significantly from the height of the financial crisis, their lack of satisfaction with the limits purchased is probably caused by the uncertainties surrounding new and pending legislation as well as the continued turmoil in the financial markets.

Interestingly, like the umbrella/excess liability, the position that shoulders the role of a primary stakeholder is often the least comfortable with the limits purchased. In this case, it is the CEO/President for D&O.

Nearly 80% of respondents are comfortable with the level of D&O limits purchased

Comfort level with limits for directors & officers liability



Changes in retention levels

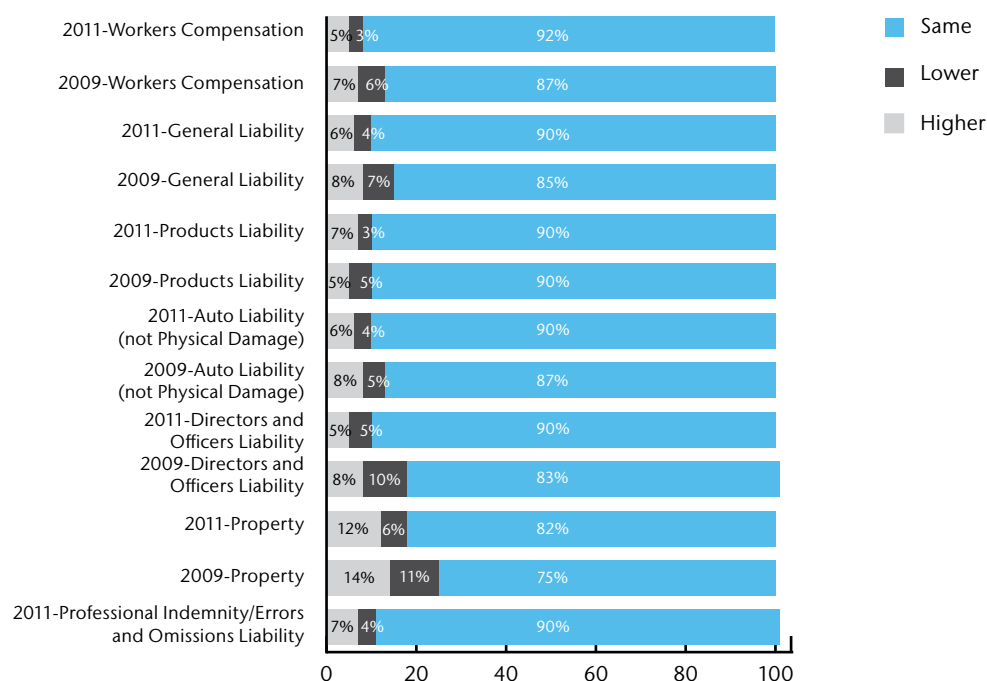
Overall, the majority of organizations have not changed their retentions from the prior policy period. The driving factors behind this include:

- continued soft market
- a general sense of comfort with historical retention levels
- budget pressures on the insured to control overall premium spend (by reducing the retention)
- trade-offs in premium offered by carriers (either up or down) are not deemed to be yielding meaningful savings

Similar to the results in the two prior surveys, property has experienced the most changes in retention levels. Twelve percent of respondents indicate an increase while six percent note a decrease. Increases in retention are most likely the result of an organization's exposure to natural catastrophe risk and adverse loss experience, combined with the desire to control premium spend. A particular example of this lies in the natural resources (oil, gas and mining) respondent group, 40 percent of which have had an increase in their overall retentions.

The majority of organizations have not changed their retentions; property sees the most retention changes

Changes in retention levels

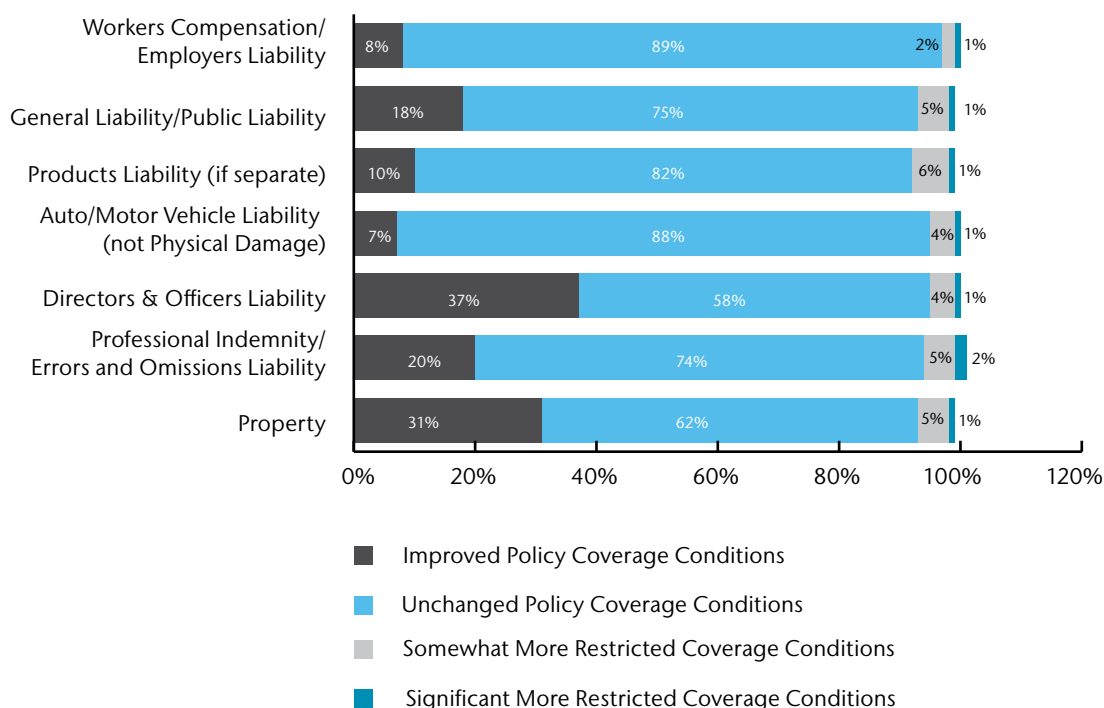


Changes in coverage

Overall, the majority of respondents indicate that the terms and conditions for all surveyed lines of coverage remain unchanged in comparison with the prior year's programs. The coverage lines that have experienced the most improvement in coverage terms are property (31 percent) and D&O (37 percent). In a soft and competitive market, organizations have more ability and leverage to negotiate better terms and conditions for their coverage.

Terms and conditions for all surveyed lines of coverage remain unchanged; property and D&O have experienced the most improvement in coverage terms

Changes in coverage



Global Programs

Most respondents (59 percent) operating in more than one country say their corporate headquarters control procurement of all of their global and local insurance programs, while 38 percent control some lines and leave local offices to purchase other lines. The most common types of global policies purchased are general liability including public/product liability, as well as property damage/business interruption.

Global insurance purchasing habits

With the prolonged economic downturn and increased globalization, the way a company handles its operations and insurance programs across borders has come under greater scrutiny, and present multinational organizations with opportunities to bring efficiency to global risk finance programs.

Regulatory scrutiny related to how insurance is procured and cost accounted for has focused increasingly on:

- How coverage is procured in accordance with admitted insurance regulations and;
- How insurance cost is allocated and accounted for to ensure payment of taxes and fees that would be due if insurance is procured in-country.

Opportunities for efficiency lie in:

- The approach to insurance procurement and cost efficiency for appropriate coverage;
- Elimination of unnecessary coverage;
- Ensuring no unplanned retentions due to poorly coordinated local and corporate programs.

The 2011 survey aims to gauge how companies handle such challenges. Respondents with operations in more than one country are asked how they purchase/control their insurance programs—59 percent indicate that their corporate headquarters control procurement of all of their global and local insurance programs, while 38 percent say their corporate headquarters purchase some lines and leave local offices to handle other lines. Only three percent of surveyed companies allow each operation to buy their own insurance with no coordination from corporate headquarters.

Nearly 60% of respondents with cross-border operations control procurement of all of their global and local insurance programs at corporate level

Global insurance purchasing habits

Category	All*	2–5	6–10	11–15	16–25	26–50	51+
No, each operation buys its own insurance with no coordination from corporate headquarters	3%	5%	2%	3%	2%	1%	2%
Corporate headquarters control some lines and leave local offices to purchase other lines	38%	28%	40%	51%	50%	47%	38%
Corporate headquarters control procurement of ALL insurance programs (global/local)	59%	67%	58%	46%	48%	52%	60%

*All represents respondent operating in more than one country.

Global insurance buying patterns

Among organizations that control procurement of insurance for cross-border operations from their corporate headquarters, half say they have purchased programs which have global policies issued to parent and local policies issued to local operations. Combination of multiple methods also appears to be a very common method for buying policies (37 percent).

While it is encouraging to see that the majority of companies are in control of their global and local programs, the key words are “coordination and central oversight.” As companies are relying on more foreign resources, it is more important than ever for organizations to take a holistic view of their risk finance strategies, ensuring global efficiency in program cost and structure while addressing evolving compliance and regulatory concerns.

Organizations having a centralized operating structure that can track and coordinate the procurement of all insurance programs (global/local) achieve the following benefits:

- Reducing total cost of risk
- Detecting coverage gaps or unnecessary retentions
- Maximizing local and global compliance
- Security and peace of mind
- Consistency and transparency
- Avoiding redundant coverage

Among companies with centralized operating structures, 50% have global policies issued to parent and local policies issued to local operations

Global insurance buying patterns

Category	All*	2–5	6–10	11–15	16–25	26–50	51+
Buy global policies issued to the parent with no local policies	8%	13%	10%	6%	5%	5%	5%
Buy “programs” which may include global policies issued to parent and local policies issued to local operations	50%	44%	44%	63%	57%	47%	58%
Buy local policies only	4%	9%	6%	0%	0%	1%	0%
Combination of two or more of above	37%	34%	40%	31%	38%	46%	37%

*All represents respondent operating in more than one country.

Types of global insurance coverage purchased

Among the global policies that organizations purchased, the most common types indicated in the survey are:

- General Liability including public/product liability (89 percent)
- Property damage/business interruption (81 percent)
- Directors and Officers Liability (68 percent)

Traditionally, most companies simply consider general liability including public/product liability as well as property damage/business interruption insurance for their global insurance purchase. However, in recent years, globally administered programs for D&O and other lines of coverage are gaining popularity as local regulations and requirements evolve and the carrier's abilities to administer these programs strengthen. In this survey, 68 percent of surveyed companies have bought D&O on a global basis.

The most common types of global policies purchased are general liability including public/product liability, as well as property damage/business interruption

Types of global insurance coverage purchased

Category	All*	2–5	6–10	11–15	16–25	26–50	51+
General Liability including Public/Product Liability	89%	87%	87%	88%	95%	93%	88%
Property Damage/Business Interruption	81%	72%	79%	79%	84%	92%	87%
Directors and Officers Liability	68%	58%	64%	68%	73%	78%	73%
Auto/Motor Vehicle Liability	46%	56%	47%	35%	47%	32%	46%
Workers Compensation/Employers Liability	45%	48%	40%	41%	53%	34%	49%
Crime	38%	35%	32%	38%	42%	45%	40%
Other	9%	8%	2%	18%	7%	11%	10%

*All represents respondent operating in more than one country.

Captives

Captive insurance companies continue to be used by organizations in virtually all industry groups and geographic regions, with 26 percent of respondents report where having an active captive or Protected Cell Company. Property and general liability are the most often underwritten lines of coverage within a captive. While we are not seeing prolific growth in new captive formations on a global scale, we anticipate the vast majority of owners will remain committed to their captive strategy.

Organizations that use captives

There is no doubt that over the past 24 months, internal competition for capital forced many captive owners to question and test the appropriateness of their captive vehicles from an overall efficiency perspective. Certain sectors have felt this pressure more than other—a good example being financial institutions. Overall, captives continue to be used by organizations in virtually all industry groups and geographic regions. These vehicles also provide a useful source of risk finance capacity to mature and more sophisticated buyers.

Twenty-six percent of all survey respondents report having an active captive or Protected Cell Company (PCC), down from 37 percent in 2009. The reason for this significant drop could be two fold. First, a number of key lines have been in a continued soft pricing environment. Secondly, there has been a change in the 2011 survey respondent profile—the number of respondents under USD 1 billion in revenue has increased from 26 percent (2009) to 50 percent (2011). In short, smaller buyers are less likely to set up captives. However, the reduction in percentage overall does seem to support the general view of a decline in the market.

Due to the mature state of the industry, interest in new captive formation is relatively low and consistent with the previous 2009 survey. However, industry sector analysis does show where the main interest is likely to be in the next three years for organizations that are planning to create a new captive or PCC. The top four sectors based on surveyed respondents, are natural resources (oil & gas) at 29 percent, agribusiness at 25 percent, retail at 22 percent and chemicals at 20 percent. Arguably, these industries attract heavier premium costs than others, making the cost of external insurance relatively material. Such sensitivity supports the likely development of more captive ownership in these sectors as an alternative to conventional insurance.

During the economic downturn, it is fair to say that there is greater activity and interest in exit strategies. For 2011, eight percent of respondents indicate an interest in closure of their captive vehicle and six percent consider their captive vehicle to be dormant or in run-off. We anticipate that pure financial assessment based around opportunity cost of capital will drive this position. However, future developments in Europe with regard to Solvency II implications, and globally, the growing political sensitivity to offshore domiciles will add to this debate. In addition, as the economy improves, increased M&A activity resulting in consolidation strategies being required for multiple captive owners is likely to feature.

Organizations with a formal risk management department are three times more likely to use captives than those without (33 percent vs. 10 percent). Conversely, they are also three times more likely to be considering a captive closure—10 percent vs. three percent for companies without a risk management department.

26% of respondents have an active captive or Protected Cell Company, down from 37% in 2009

Organizations with a captive or PCC by current & future use

Category	2011	2009
Plan to create a new or additional captive or PCC in the next 3 years*	12%	12%
Currently have an active captive or PCC	26%	37%
Have a captive that is dormant/run-off	6%	N/A
Do you plan to close a captive in the next 3 years	8%	N/A

*In 2009 we used next year not next 3 years

A correlation also exists between an organization's size and captive utilization. Larger and more sophisticated buyers are more likely to explore the captive option as part of their risk management and financing strategy. Only 12 percent of respondents under USD 1 billion of revenue have a captive. This percentage trend goes up significantly to over 50 percent for organizations with revenues in excess of USD 5 billion.

Considering the diverse origins of parent companies and the changing respondent profile for the 2011 survey, it is not surprising to see that the percentages of captive owners by region have reduced by 30 to 40 percent in most regions. Europe still has a relatively high penetration with 34 percent of respondents owning a captive. North America is also considered a mature market for captives but possibly with some growth potential. We believe that there is room for substantial growth in captives in Latin America, the Middle East & Africa and Asia Pacific. Each of these regions is at a different stage of familiarity with the concept and process of captives. Market liberalization issues and a consequent lack of ease of local regulations are still barriers to entry for potential captive owners in these regions. Realistically for these regions development will be incremental and over the medium term.

While we are not seeing prolific growth in new captive formations on a global scale, we anticipate the vast majority of owners remain committed to their captive strategy—a policy which could provide significant benefits if/when the hard market conditions return.

Larger and more sophisticated buyers are more likely to explore the captive option as part of their risk management and financing strategy

Organizations with a captive or PCC by revenue

Region	2011	2009	2007*
< USD 1B	12%	19%	N/A
USD 1B–USD 4.9B	33%	31%	42%
USD 5B–USD 9.9B	50%	53%	54%
USD 10B–USD 14.9B	64%	55%	54%
USD 15B–USD 24.9B	67%	67%	53%
USD 25 B+	72%	87%	76%

*The 2007 percentages for USD 5 billion–USD 9.9 billion and USD 10 billion–USD 14.9 billion represent the 2007 respondent revenue group USD 5B–USD 14.9B revenue range

Organizations with a captive or PCC by region

Region	2011	2009
All	28%	41%
Asia Pacific	27%	42%
Europe	34%	55%
Latin America	14%	13%
Middle East & Africa	29%	43%
North America	25%	36%

Key risks underwritten

Similar to the 2009 survey, property (35 percent) and general liability (32 percent) are the most often underwritten lines of coverage within a captive. Other popular lines include: auto liability at 26 percent, employers liability/workers compensation at 23 percent, products liability at 20 percent and professional indemnity/errors & omissions at 18 percent.

Property and general liability are the most often underwritten lines of coverage within a captive

In the 2011 survey, respondents indicate increased interest in underwriting the following risks over the next five years:

- Warranty: 208 percent increase
- Cyber liability: 78 percent increase
- Trade credit: 71 percent increase
- Environmental: 56 percent increase
- Employment practices liability: 48 percent increase
- Owner controlled insurance programs: 61 percent increase
- Employee benefits: 61 percent increase

The above facts are interesting and tie in with a general trend—captive owners are seeking opportunities to create diversity across captive portfolios and use their captives strategically.

Current and future coverage underwritten

Coverage	2011–Currently underwritten	2011–Continue/ plan to underwrite same/new risk in next five years	2011–Percentage of projected change
Property	35%	34%	-5%
General/Third Party Liability	32%	31%	-3%
Auto Liability	26%	25%	-2%
Employers Liability/Workers Compensation	23%	24%	3%
Product Liability and Completed Operations	20%	20%	3%
Professional Indemnity/Errors and Omissions Liability	18%	20%	11%
Directors and Officers Liability	15%	18%	22%
Crime/Fidelity	12%	14%	20%
Catastrophe	11%	15%	33%
Terrorism	11%	14%	27%
Employee Benefits (Excluding Health/Medical and Life)	10%	16%	61%
Marine	10%	12%	15%
Health/Medical	10%	15%	42%
Employment Practices Liability	9%	14%	48%
Environmental/Pollution	9%	14%	56%
Life	9%	12%	33%
Credit/Trade Credit	7%	12%	71%
Third-Party Business	7%	8%	11%
Cyber Liability/Network Liability	5%	9%	74%
Financial Products	5%	7%	22%
Owner Controlled Insurance Program/ Contractor Controlled Insurance Program	5%	7%	61%
Other	5%	5%	-8%
Aviation	4%	5%	39%
Sub-contractor default insurance	2%	4%	58%
Warranty	2%	7%	208%

Methodology

This Web-based survey addressed both qualitative and quantitative risk issues. Responding risk managers, CROs, CFOs, treasurers and others provided feedback and insight on their insurance and risk management choices, interests and concerns.

Aon Analytics conducted this survey with the support of Aon Hewitt's research specialists, who collected and tabulated the responses. Other Aon insurance and industry specialists provided supporting analysis and helped with the interpretation of findings.

All responses for individual organizations are held confidential, with only the consolidated data being incorporated into this report. Percentages for some of the responses may not add up to 100 percent due to rounding or respondents being able to select more than one answer. All revenue amounts are shown in US Dollars.

Aon at a glance

Aon Corporation (NYSE: AON) is the leading global provider of risk management services, insurance and reinsurance brokerage and human resources solutions and outsourcing. Through its more than 59,000 colleagues worldwide, Aon unites to deliver distinctive client value via innovative and effective risk management and workforce productivity solutions. Aon's industry-leading global resources and technical expertise are delivered locally in over 120 countries. Named the world's best broker by Euromoney magazine's 2008, 2009 and 2010 Insurance Survey, Aon also ranked highest on Business Insurance's listing of the world's insurance brokers based on commercial retail, wholesale, reinsurance and personal lines brokerage revenues in 2008 and 2009. A.M. Best deemed Aon the number one insurance broker based on revenues in 2007, 2008 and 2009, and Aon was voted best insurance intermediary 2007–2010, best reinsurance intermediary 2006–2010, best captives manager 2009–2010 and best employee benefits consulting firm 2007–2009 by the readers of Business Insurance. Visit aon.com for more information on Aon and aon.com/manchesterunited to learn about Aon's global partnership and shirt sponsorship with Manchester United.



Aon Analytics provides clients with forward-looking business intelligence, comprehensive benchmarking and total cost-of-risk analysis as well as global market insights using proprietary technology like the Aon Global Risk Insight Platform to enable more informed and fact-based decision making around risk management, risk retention and risk transfer goals and objectives.



Based in Dublin, Ireland, the Aon Centre for Innovation and Analytics provides Aon colleagues and their clients around the globe fact-based market insights. As the owner of the Aon Global Risk Insight Platform (GRIP), one of the world's largest repositories of risk and insurance placement information, the Centre analyzes Aon's USD 54 billion global premium flow to identify innovative new products and to provide Aon brokers insights as to which markets and which carriers provide the best value for clients.

Aon Situation Room

In the Aon Situation Room, clients will find current insurer financial strength ratings and the most recent updates from Aon's Market Security Committee on specific carriers. The latest news, legislative action and earnings information is included on the site as well. Clients can also register to receive up-to-date e-mail alerts.



Aon Global Risk Insight Platform® (Aon GRIPSM) is the world's leading global repository of global risk and insurance placement information. By providing fact-based insights into Aon's USD 54 billion in global premium flow, Aon GRIP helps identify the best placement option regardless of size, industry, coverage line or geography.

The Web-accessible data produced by Aon GRIP helps Aon brokers evaluate which markets to approach with a placement and which carriers may provide the best value for clients. It also gives Aon brokers a leg up when it comes to negotiations, making sure every conversation is based on the most complete, most current set of facts.

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